



ACQLERATE

MODULE 6

# Program Operations & Leadership

*Lead programs effectively: risk management, stakeholder communications, EVMS implementation, and career advancement.*

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7 Lessons · ~109 Minutes · Lesson Book Edition

## Course Lessons

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| 01 | Career Roadmap                         | 12 min |
| 02 | Risk Management                        | 14 min |
| 03 | Stakeholder Management & Communication | 13 min |
| 04 | Subcontractor Management               | 16 min |
| 05 | Common Mistakes New PMs Make           | 16 min |
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| 07 | What Program Managers Actually Do      | 20 min |

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 1

# Career Roadmap

12 min

*Whether you're coming from a technical background, a business degree, or a military transition, defense acquisitions offers two very different career paths. Government and contractor. With distinct entry points, credentials, and cultures. This lesson maps both tracks honestly: what each side actually does, how to get in the door, what gets you hired, what to expect in compensation, and how the career develops from entry level to the senior executive ranks.*

## Defense Acquisitions: Two Very Different Games

### Government Side

The Client

You set the requirements, own the budget, and are accountable to Congress and the taxpayer. You approve payments, direct the contractor, and sign the paperwork that matters. Tradeoff: more oversight work, GS salary caps, and real bureaucracy.

### Contractor Side

The Vendor

You deliver the work, manage the technical execution, and live by your CPARS ratings and contract renewals. Upside: higher compensation and faster advancement at some firms. Downside: when the contract ends or gets recompeted, so might your job.

Many experienced professionals move **between both sides** over a career. That's not just normal. It's strategic.

### A PM IS NOT A PROMOTION

This is the most important concept in this lesson, and it's the one that trips people up most often. Becoming a Program Manager is not a promotion from your current job. It's a lateral move into a completely different discipline. Being a great engineer doesn't make you a great PM any more than being a great surgeon makes you a great hospital administrator. The skills are adjacent but different. One is about doing the work. The other is about making sure the work gets done. By the right people, at the right cost, on the right schedule. The surgeon analogy is worth sitting with. A surgeon who becomes a department head and keeps trying to do surgery all day is a bad department head. The job changed. The measure of success changed. Everything that made them excellent before is now, at best, a distraction. And at worst, a liability. Defense PM is the same. The best engineers, analysts, and contract specialists who become PMs often struggle in the transition because they keep defaulting to doing the technical work instead of managing it. It feels productive to dive into the details. It feels uncomfortable to stay at 30,000 feet while problems pile up below you. But that discomfort is exactly the job. A PM's core questions are: Who owns this? What are the options? What does leadership need to know, and when do they need to know it? Not: let me solve this myself. If you're moving into a PM role, give yourself six months before you judge whether you're good at it. The rewiring takes time.

## If You're Not in the People Business, Think Twice

Contractor PMs are leaders as much as they are managers: and that distinction matters. Most people assume a PM's job is one of two things: keep revenue coming in, or be the boss. Neither captures it. A PM's job is to take care of people and take care of the program: in that order. Here's why that sequence matters: your team delivers the service. The service is what the client pays for. If your people are well-led, supported, and working on things that matter, they deliver better work. Better work makes the client happy. A happy client renews the contract and expands the relationship. Revenue follows: it doesn't lead. When you reverse that and chase revenue first, you burn people out, you cut corners, and eventually you lose both the team and the client. My honest advice: **if you aren't genuinely in the business of putting people first, skip becoming a PM.** Not because it's a rule: but because you'll be miserable at it and the people around you will know it.

## What a Contractor PM Actually Leads

- **Your people, not just their tasks** A contractor PM owns the professional environment their team works in. That means knowing what's frustrating them, advocating for their career development, resolving conflicts before they become performance issues, and giving credit publicly and feedback privately. People who feel cared for work harder, stay longer, and go above and beyond when it counts: because they're choosing to, not because their SOW requires it.
- **The client relationship: not just the deliverables** Deliverables are the floor, not the ceiling. The best contractor PMs understand what the COR and program office actually care about: and they communicate, flag issues early, and build trust long before there's a problem to solve. A client who trusts you gives you grace when things go sideways. A client who only knows you through CDRL submissions will not.
- **The program health: not just the schedule** Dates and budgets are symptoms. The real job is reading the early warning signs before they show up on a stoplight chart: a team member who's going quiet, a subcontractor who's consistently a week behind, a requirement that's been reinterpreted differently by the government and your PM office. A PM who catches those signals early avoids the crisis. A PM who only reviews the schedule misses them entirely.
- **The culture: not just the deliverable quality** The culture of a program team is a direct output of how the PM leads it. A PM who treats pressure as a reason to cut corners creates a team that cuts corners. A PM who treats problems as learning opportunities creates a team that brings problems to the surface early: which is exactly what you need to manage a program well.

**WHAT PM IS NOT**

Not a revenue generator first. That's a BD job. Not just a boss. Anyone can tell people what to do. A PM leads. Which means setting direction, removing obstacles, and making the team better at their jobs. Not a subject matter expert who manages. The PM's job is to make sure the right experts are working the right problems. Not to be the smartest person in every technical conversation. If your primary motivation for becoming a PM is the title, the pay bump, or the authority to direct people. Find a different path. The PMs who last and leave a mark are the ones who are genuinely energized by the people and the mission. Everything else follows from that.

**Getting In: Government Track**

- **Start your security clearance process immediately** You cannot start the official clearance process until you have a job offer, but you can prepare. Know your full employment history, foreign contacts, and financial history. The most common delay isn't a disqualifying event: it's missing information. Clearances typically take 6 to 18 months; TS/SCI can take longer. Disclose everything honestly. Adjudicators care far more about honesty and context than about the underlying facts.
- **USAJOBS.gov is the only place government jobs are posted** There is no LinkedIn Easy Apply for federal jobs. Every civilian government position must be posted on USAJOBS.gov. When you search, filter by job series: Series 1102 (Contracting Specialist / KO) or 1101 (Program Management/Acquisition) will surface most acquisition roles. Read the job announcement carefully and mirror its exact language in your application materials. Automated screening systems look for keyword matches before a human ever sees your resume.
- **The Pathways Program is the best entry door for recent graduates** If you graduated from college in the last two years, the Pathways Recent Graduates Program is designed specifically for you. It places you in a one-year developmental assignment at GS-7 or GS-9, with a structured training plan and a conversion pathway to a permanent position. This is how many acquisition professionals get their first federal job: without needing prior government experience.
- **DAU training is free for government employees: start now** Defense Acquisition University (DAU) offers free online courses for all government acquisition employees. ACQ 101 (Fundamentals of Systems Acquisition Management) is the right starting point and takes roughly eight hours. You will need DAU certifications to advance: they are required, not optional, for most GS-13 and above positions. The earlier you start, the less it feels like a checkbox and the more it feels like actual knowledge.
- **The defense community is small: network accordingly** AFCEA (Armed Forces Communications and Electronics Association) events, industry days, and LinkedIn are all legitimate networking channels. The DoD acquisition community is genuinely small. You will keep running into the same people throughout your career. Treat every interaction: including informational interviews with people more senior than you: as a long-term relationship investment. The person you help out at GS-9 may be a SES member when you're a GS-14.

- **Your federal resume is not your private-sector resume** A federal resume is typically 3 to 5 pages, not one. It must document your work history in significant detail: specific duties, accomplishments, and hours per week for each position. It must match the language of the job announcement as closely as possible, because keyword matching matters. Quantify everything: not "managed a budget" but "managed a \$4.2M operations budget across three funding lines." If you're not used to writing this way, DAU and USAJOBS both offer guidance.
- **Apply broadly and expect the process to take months** Federal hiring is slow by design. From application to start date, three to six months is normal; some positions take longer. Apply to multiple positions simultaneously. Do not withdraw from a process because you haven't heard back: no news is genuinely no news in federal hiring.

## Getting In: Contractor Track

- **The big firms are not the only option: and may not be the best for early careers** Booz Allen Hamilton, Leidos, SAIC, Peraton, and GDIT are the household names. They hire at volume and have established training programs, but early-career employees can get lost in large organizations. Smaller and mid-size firms often offer faster advancement, broader exposure, and more direct mentorship. If you're choosing between a large firm and a smaller one, ask what your day-to-day looks like in year two: not just year one.
- **Program Analyst is the most common entry-level door** If you're applying for contractor jobs without a clearance or significant acquisition experience, look for "Program Analyst" roles. The job typically involves supporting a government program office: tracking schedules, preparing briefings, analyzing data, writing reports. It's not glamorous, but it's where you learn how programs actually run: and it builds the experience base you'll need for every role after it.
- **Get your PMP: even if you don't have it yet** The Project Management Professional (PMP) certification is the baseline credential for contractor PM roles. You need 36 months of project management experience to sit for the exam, so you may not qualify immediately. That's fine: but put it on your roadmap from day one. In the meantime, look at PMI's entry-level certifications as stepping stones. Senior contractor PM roles routinely list PMP as required, not preferred.
- **GovWin IQ is essential if you move into business development** GovWin IQ is the intelligence platform that tracks government procurement activity: what's being bid, what competitors are winning, what's coming up on the horizon. If you end up in a Business Development (BD) or capture role, this is your most important daily tool. Even if you're not in BD yet, basic familiarity with it signals to employers that you understand how the contractor business works.
- **LinkedIn is how this industry actually hires** The contractor market is heavily relationship-driven. Firms recruit from their networks first, post jobs second. A strong LinkedIn profile with specific program keywords (program names, agency names, contract vehicles) will get you inbound recruiter contacts. Connect proactively with people in the roles you want. Informational interviews are widely accepted in this community: most people will take a 30-minute call if you ask respectfully.
- **A security clearance is more valuable than an extra degree at senior levels** At the entry and mid levels, education and certifications matter. At the senior level, your clearance and your program relationships are

what contractors are actually paying for. This sounds blunt but it's true: a cleared GS-14 who knows the government PM and the customer organization is worth far more to a contractor than a credentialed professional who has to start from scratch on relationships. Protect your clearance like the asset it is.

#### **WHAT ACTUALLY GETS YOU HIRED**

Here's the honest version of what both sides are looking for: problem solvers, not task completers. Anyone can say they "supported a program" or "managed acquisition actions." The candidates who get hired, and get promoted, are the ones who can tell a specific story about a problem they diagnosed, a solution they built, and an outcome they drove. This is what that sounds like in practice: "We were 18 months out from Milestone B, heading into a major program review, and our schedule showed we were going to miss it. I identified the critical path issues early, built a recovery plan with three options, briefed leadership with a clear recommendation, and we made the milestone on time." That answer has: a problem, an analysis, a decision, and an outcome. It shows judgment, not just activity. Certifications get you in the door. They signal baseline competence and show you took the time to invest in the field. But problem-solving keeps you in the room. And gets you the next job. When you're preparing for interviews, build a library of five to seven specific stories like this from your own experience. Use the STAR format (Situation, Task, Action, Result) if it helps structure your thinking. The specific details, the program name, the dollar amount, the schedule date, are what make the story credible. Vague stories sound like resume filler. Specific stories sound like experience.

## Salary Reality Check (2025 Estimates)

| TRACK      | ROLE / GRADE                 | APPROXIMATE ANNUAL SALARY | NOTES                                                         |
|------------|------------------------------|---------------------------|---------------------------------------------------------------|
| Government | GS-9 (Entry)                 | \$55,000 – \$72,000       | Varies significantly by location; D.C. metro adds ~30%        |
| Government | GS-11 (Early Career)         | \$66,000 – \$87,000       | Typical after 2–3 years; first supervisory roles possible     |
| Government | GS-12 (Mid Career)           | \$79,000 – \$103,000      | Where most people spend several years building specialization |
| Government | GS-13 (Senior Specialist)    | \$94,000 – \$122,000      | Competitive; typically requires DAPA certification progress   |
| Government | GS-14 (Senior PM / Lead)     | \$111,000 – \$144,000     | Major program experience usually required to reach this grade |
| Government | GS-15 (Principal / Director) | \$130,000 – \$169,000     | Highest non-SES grade; leadership of significant programs     |
| Contractor | Program Analyst (Entry)      | \$65,000 – \$85,000       | Wide range depending on firm size, clearance level, location  |
| Contractor | Program Manager (Mid)        | \$100,000 – \$135,000     | With PMP and active clearance; direct program oversight       |
| Contractor | Senior PM / Program Director | \$140,000 – \$185,000     | TS/SCI + program relationships = primary value drivers        |
| Contractor | VP, Business Development     | \$180,000 – \$250,000+    | Highly variable; often includes commission/bonus structure    |

I'll make this concrete. When I talk about 'knowing your contract,' I don't just mean knowing the title of the vehicle you're on. I mean: What does your Statement of Work actually authorize you to do? What are your CDRLs and when are they due? What's in each CLIN and how much is funded? Your subcontracts: Who are your subs, what did you promise them, and are they delivering? Your finances: What's your burn rate this month, and does your estimate to complete match your funded value? A PM who can answer all of that without looking it up has command of their program. That's the job.

## INTERMEDIATE

## Mid-Career: Building a Portfolio, Not Just a Resume

If you're five to ten years in and thinking about the next level, the question changes. It's no longer "how do I get experience?" It's "what kind of experience am I deliberately building?" The most competitive GS-14 and GS-15 profiles. And the contractor equivalents. Share a few characteristics. First, they've worked on at least one major program. In acquisition, program size is classified using ACAT levels (Acquisition Category). ACAT I programs are the big ones. Major weapons systems with price tags in the billions that Congress watches closely and the Secretary of Defense approves. ACAT II programs are still significant but operate with more delegation. Having ACAT I or ACAT II experience on your resume signals that you understand how defense acquisition works at scale, with real stakes. Second, they've done a functional rotation. The best PMs understand finance, contracting, and engineering. Not at a practitioner level, but well enough to ask the right questions. A rotation through a contracting office or a program finance function makes you a materially better PM. It also demonstrates breadth of perspective, which is increasingly what senior hiring managers look for. Third, they're current on their DAPA certifications. The government's certification framework isn't just a credential. It reflects the training requirements tied to specific job levels. Letting your certifications lag sends a signal that you're coasting. For those considering the government-to-contractor transition: this typically happens at the GS-13 to GS-15 level, and it's worth thinking through clearly. Contractors aren't just paying for your PM skills. They're paying for your clearance, your knowledge of a specific program or customer office, and your relationships. Those things have genuine market value. The tradeoff is that you give up federal benefits, pension accrual, and some job stability. Neither choice is obviously better. It depends on what you're optimizing for. Just make the choice deliberately rather than because a recruiter caught you on a good day.

## ADVANCED

## The Senior Executive Path

If you're thinking about SES (Senior Executive Service). The top of the civilian career ladder. You're playing a longer game, and the rules are different. First, some scale: there are roughly 7,000 SES members across the entire federal government. In defense acquisition, the most visible senior civilian positions are Program Executive Officers (PEOs). The officials who oversee portfolios of related programs. And Deputy Assistant Secretaries of Defense. These are the civilian equivalents of general officers. Getting there requires two decades of deliberate choices, not just accumulated time. Here's what the path actually requires: **Major Program Experience**. You need at least one tour as a PM or Deputy PM on a significant program. Ideally ACAT I or II. This is non-negotiable. You cannot credibly lead a PEO's office if you haven't personally managed a program through at least one major milestone review. **Joint Duty Assignment (JDA)**. This is a cross-service or cross-agency assignment. For example, an Army acquisition officer spending a tour at a Navy command, or a civilian working at a joint combatant command. JDAs are

required by law for senior civilian positions in the defense department. They're also genuinely valuable: working outside your home service gives you a network and a perspective that's rare. **Senior Service College.** Army War College, Naval War College, Air War College. The war colleges admit senior civilians alongside senior military officers. This is not optional for the SES track, and the curriculum isn't really the point. The relationships you build in that year. With future generals, admirals, and senior executives. Matter more than the coursework. Plan for this in your mid-40s. **Candidate Development Program (CDP).** Most military departments run CDPs for civilians who want to be considered for SES. These are competitive programs. Apply three to five years before you want the role. They involve developmental assignments, executive coaching, and formal assessment. If SES is your goal, identify the CDP in your organization and start positioning for it early. The plain-English reality check: this path takes 20 or more years and requires deliberate choices starting from your first program assignment. Random assignments produce random careers. If you want to lead a major program office someday, that goal should inform which jobs you take at GS-12 and GS-13. Not just at GS-14 and GS-15. The people who make SES didn't stumble into it. They planned backward from where they wanted to be.

#### WHAT SENIOR PMS DO DIFFERENTLY

They plan the next role two moves ahead and take assignments for the experience gap they close rather than the title they carry, because at the senior level people are selected on the breadth of what they have actually run, not on time in grade.

#### BUILD ON THIS

- **What Program Managers Actually Do** What the job is before you decide you want it
- **Translating Military Experience** Entering the field from service
- **Common Mistakes New PMs Make** The first-year failure modes

## Key Terms

### GS Scale (General Schedule)

The federal government's standard pay system, running from GS-1 (entry level) to GS-15 (senior professional). Most acquisition careers start at GS-7 or GS-9 and top out around GS-14 or GS-15 before the Senior Executive Service. The grade determines your salary band, which varies by location. Working in Washington D.C. pays more than the same grade in a lower cost-of-living city.

### Program Manager (PM)

The person accountable for delivering a defense program. On schedule, within budget, and to the required performance. Critically: the PM is not the technical expert. The PM's job is coordination, decision-making, and accountability. They make sure the right people are working the right problems and that leadership always has what they need to make informed decisions.

### Defense Contractor

A private company that is paid by the government to deliver goods or services. Weapons systems, software, logistics support, advisory services, and much more. Major players include Lockheed Martin, Raytheon, Boeing, Booz Allen Hamilton, Leidos, and SAIC. Contractors do the technical work; government employees oversee it and are ultimately accountable for outcomes.

### Security Clearance

Official authorization from the U.S. government to access classified information. The most common levels are Secret and Top Secret (with TS/SCI. Sensitive Compartmented Information. Being the most demanding). Getting cleared takes 6 to 18 months on average and involves a detailed background investigation. In this industry, having a clearance is often worth more than an extra degree. It's genuinely hard to replace.

### DAU (Defense Acquisition University)

The federal government's training institution for acquisition professionals. It offers hundreds of courses. Most of them free to government employees. Covering contracting, program management, finance, logistics, and more. If you're on the government track, DAU isn't optional. Start with ACQ 101 (Fundamentals of Systems Acquisition Management), which is free and available online.

### Series 1102 / 1101 (Job Series Codes)

Federal job classification codes used to categorize acquisition roles. Series 1102 is the Contracting Specialist / Contracting Officer track. The people who write and award contracts. Series 1101 is a broader Program Management / Acquisition Support category. When searching USAJOBS.gov, filtering by these series codes is the fastest way to find acquisition jobs and cuts through the noise.

### Pathways Program

The federal government's structured entry-level hiring program for recent college graduates (within the past two years). It's the most direct door into a government acquisition career without prior federal experience. Most positions are GS-7 to GS-9, include a formal development plan, and can convert to a full-time permanent position after one year. Think of it as a paid apprenticeship with a built-in career track.

### PMP (Project Management Professional)

The most widely recognized project management certification in the world, administered by PMI (Project Management Institute). On the contractor side, it's essentially a baseline credential for anyone in a PM or program

analyst role. It signals that you understand the discipline of project management. Scheduling, risk, stakeholder management. Regardless of what industry you learned it in.

**GovWin IQ**

A business intelligence platform used extensively by defense contractors to track government opportunities, monitor competitor activity, and plan business development strategy. If you end up in a Business Development (BD) or capture role on the contractor side, GovWin is the primary tool for finding and qualifying new contract opportunities before they're officially solicited.

**DAPA (Defense Acquisition Professional Development Program)**

The current framework (formerly called DAWIA. Defense Acquisition Workforce Improvement Act) that defines certification requirements for government acquisition professionals. It establishes what training, education, and experience you need to hold certain positions. Working toward your certifications isn't bureaucratic box-checking. It's the clearest signal to hiring managers that you're serious about this career.

## Knowledge Check

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**What is the most accurate way to describe the difference between working on the government side versus the contractor side in defense acquisition?**

A. Government employees do the technical work; contractors oversee it

This is backwards. Contractors typically perform the technical execution. Government employees provide oversight and are ultimately accountable for outcomes.

**✓ B. Government employees are the client with oversight authority; contractors are the vendors who deliver the work**

Correct. The government sets requirements, controls the budget, and is accountable to Congress. Contractors execute the work and are evaluated on their performance.

C. Both sides perform the same functions but are paid differently

The roles are structurally different: not just in compensation but in authority, accountability, and day-to-day responsibilities.

D. Contractors have more authority because they hold the technical expertise

Technical expertise and authority are different things. Government Contracting Officers and PMs have legal and contractual authority regardless of technical depth.

### WHY

The government side functions as the client. Setting requirements, controlling funds, and maintaining oversight authority. The contractor side functions as the vendor. Executing the work and being measured on schedule, cost, and performance. Many professionals move between the two sides over the course of a career because understanding both perspectives is genuinely valuable.

**A talented systems engineer with 10 years of experience is considering a move into a Program Manager role. What is the most important thing for them to understand about this transition?**

A. Their technical expertise will be their biggest advantage as a PM

Technical depth is useful context but can actually become a liability if the new PM defaults to doing technical work instead of managing it.

B. The PM role is a natural promotion that rewards deep technical expertise

Being a PM is a lateral move into a different discipline; not a promotion. The skills that made someone a great engineer are different from the skills that make a great PM.

**✓ C. PM is a different job focused on coordination and accountability, not technical execution**

Correct. The PM's job is making sure the right people are solving the right problems: not solving the problems themselves. This is a genuine mindset shift that takes time.

D. The main challenge will be learning acquisition regulations

Regulations can be learned. The harder transition is behavioral: learning to stay at the management level rather than diving into technical details.

#### WHY

The PM role requires a fundamentally different mindset: Who owns this? What are the options? What does leadership need to know? The best engineers who become PMs often struggle initially because they keep defaulting to doing the technical work instead of managing it. The job is coordination and accountability. Not expertise.

**A recent college graduate (graduated 14 months ago) wants to start a career on the government side of defense acquisition. What is the best entry path?**

A. Apply directly to GS-12 positions using USAJOBS.gov

GS-12 positions require significant prior experience. A recent graduate without federal service would not be competitive at this level.

**✓ B. The Pathways Recent Graduates Program, which offers GS-7 to GS-9 positions with a structured development plan**

Correct. The Pathways program is specifically designed for graduates within two years of their degree. It provides a one-year structured program and a conversion pathway to a permanent position.

C. Start at a defense contractor first and then transition to government after two years

This is a valid career path but not the most direct route for someone who specifically wants to start on the government side.

D. Wait until you have a security clearance before applying

You cannot obtain a clearance without a job offer: it's the job that initiates the clearance process. Waiting for a clearance before applying is not possible.

#### WHY

The Pathways Recent Graduates Program is the primary federal government entry mechanism for recent college graduates. It offers positions typically at GS-7 to GS-9, a one-year development program, and conversion to a permanent appointment. All without requiring prior federal experience.

**Which certification is considered a baseline credential for contractor Program Manager roles and is widely required rather than preferred?**

**A. DAPA Level III certification**

DAPA (Defense Acquisition Professional Development Program) is the government's internal certification framework. It's required for government employees, not typically contractors.

**✓ B. PMP (Project Management Professional)**

Correct. The PMP is the universal baseline credential on the contractor side. Senior PM roles routinely list it as required. It signals cross-industry project management competence regardless of background.

**C. DAU ACQ 101 completion certificate**

ACQ 101 is a free foundational course from Defense Acquisition University. It's useful but not a professional certification and is not typically listed in contractor job requirements.

**D. TS/SCI security clearance**

A clearance is critical for many contractor roles but it's not a certification: it's a credential. The question asks about professional certification.

**WHY**

The PMP (Project Management Professional), administered by PMI, is the standard baseline certification for contractor PM roles. It's recognized across industries and demonstrates structured project management competence. If you don't have it yet, it should be on your roadmap from the start of your contractor career.

**How does a security clearance most directly affect a defense acquisition career, especially at senior levels?****A. It primarily affects which DAU courses you can take**

DAU courses are based on your job role and certification level, not your clearance level.

**B. It has little practical impact since most acquisition work is unclassified**

Significant portions of defense acquisition involve classified programs, and senior roles almost universally require clearances. An uncleared professional is excluded from large segments of the market.

**✓ C. It is a critical asset: cleared professionals have access to classified programs and are substantially more valuable, especially to contractors**

Correct. At senior levels, a clearance (particularly TS/SCI) is often more valuable than an additional degree. Contractors pay a premium for cleared professionals, and the clearance opens access to programs that represent a large share of defense spending.

**D. It only matters for government employees, not contractors**

Contractors working on classified programs must be cleared. Many senior contractor positions explicitly require TS or TS/SCI clearances.

**WHY**

A security clearance is a genuine career asset in defense acquisition. Treat it like one. At senior levels, your clearance and your program relationships are often what contractors are actually paying for. The clearance process takes 6 to 18 months minimum, so starting it early and protecting it throughout your career is critical.

**What do job series codes like 1102 and 1101 mean when searching for federal acquisition jobs?****A. They are security classification levels for acquisition programs**

Classification levels are a separate system. ACAT levels classify programs by size and oversight; classification levels (Secret, Top Secret) govern information access.

**B. They are DAU certification levels for program managers**

DAU uses its own certification structure under DAPA. Series codes are entirely separate and are part of the federal job classification system.

**✓ C. They are federal job classification codes, 1102 covers Contracting Specialist and KO positions, 1101 covers Program Management and Acquisition Support roles**

Correct. Filtering USAJOBS.gov by these series codes is the most effective way to find acquisition jobs, cutting through thousands of unrelated federal postings.

**D. They identify the GS pay grade range for entry-level acquisition jobs**

GS grades and job series codes are separate systems. The series identifies the type of work; the GS grade identifies the pay level.

**WHY**

Series codes are the federal government's job classification system. Series 1102 covers Contracting Specialist and KO positions; Series 1101 covers broader Program Management and Acquisition Support roles. When searching USAJOBS.gov, using these series codes as filters is the fastest way to surface acquisition-specific positions.

**What does DAU (Defense Acquisition University) provide, and what does it cost government employees?****A. Advanced degree programs in defense management; tuition varies by program**

DAU offers certifications and professional development courses, not accredited degree programs. The cost model is also different.

**✓ B. A wide range of acquisition training courses that are free for government employees**

Correct. DAU offers hundreds of courses covering program management, contracting, finance, logistics, and more: at no cost to federal government employees. It's the primary training institution for the acquisition workforce.

**C. Contractor-focused PMP preparation; fees apply for all participants**

DAU is a government institution primarily serving the government acquisition workforce. The PMP is a separate PMI certification.

**D. Security clearance processing and adjudication support**

Security clearances are processed through DCSA (Defense Counterintelligence and Security Agency), not DAU.

**WHY**

DAU provides comprehensive acquisition training. Free for government employees. Covering every major acquisition discipline. ACQ 101 (Fundamentals of Systems Acquisition Management) is the recommended starting point. DAU courses are tied to DAPA certification requirements, so completing them isn't just professional development. It's career progression.

**When a defense contractor recruits a senior government acquisition professional, what are they primarily paying for?**

**A. Their academic credentials and graduate degrees**

Education is a factor at the entry level, but senior contractors are primarily paying for experience, clearance, and relationships: not degrees.

**B. Their DAU certification levels**

DAPA certifications confirm that the professional has met government training requirements. They're relevant but not what drives the premium salary in a government-to-contractor transition.

**✓ C. Their security clearance, knowledge of specific programs, and relationships with the customer organization**

Correct. A cleared professional who knows the government program office and has existing relationships with the customer is genuinely difficult to replace. That combination is what contractors pay a premium for.

**D. Their ability to write acquisition regulations**

Regulatory expertise is useful but widely available. The scarcer and more valuable asset is program-specific knowledge and relationships.

**WHY**

When a contractor recruits a senior government professional, they're primarily acquiring three things: an active security clearance (which cannot be quickly replicated), deep knowledge of a specific program or customer office, and existing relationships with the government personnel who will make or influence procurement decisions. That package is what drives the salary premium in government-to-contractor transitions.

**What is GovWin IQ primarily used for in the defense contractor world?****A. Processing security clearance applications for contractor employees**

Clearances are processed through DCSA, a government agency. GovWin is a private business intelligence platform.

**B. Submitting contract proposals through the government procurement portal**

Contract proposals go through SAM.gov and agency-specific portals. GovWin is an intelligence and market research tool, not a submission platform.

**✓ C. Tracking government procurement opportunities, monitoring competitor wins, and planning business development strategy**

Correct. GovWin IQ is the primary market intelligence tool for contractor business development teams: used to identify upcoming opportunities, research the competitive landscape, and prioritize which bids to pursue.

**D. Managing program schedules and deliverables for active contracts**

Program management tools (MS Project, Jira, etc.) handle schedule and deliverable tracking. GovWin focuses on the pre-award, business development phase.

**WHY**

GovWin IQ is a business intelligence platform that tracks the federal procurement market. Upcoming solicitations, historical awards, competitor activity, and agency spending trends. It's the go-to tool for contractor business development and capture teams, and basic familiarity with it signals to employers that you understand how the contractor business development process works.

**Based on typical 2025 salary ranges, approximately how much of a salary increase might a GS-14 government acquisition professional expect when transitioning to a Senior PM or Program Director role at a defense contractor?**

A. Little to no increase: government and contractor salaries are comparable at senior levels

At the senior level, contractor salaries typically run significantly higher than equivalent government grades, particularly when clearance and program relationships are involved.

**✓ B. Approximately 25–50% increase, moving from roughly \$111–144K to \$140–185K**

Correct. A GS-14 earning in the \$111,000 to \$144,000 range could expect to earn \$140,000 to \$185,000 or more in a comparable senior contractor PM role: a meaningful increase, offset by the tradeoff in benefits and job security.

C. A decrease in total compensation due to the loss of federal benefits

Federal benefits (pension, health insurance, leave) have real value and should be factored in, but the base salary difference at the senior level typically more than offsets benefit costs in most scenarios.

D. More than double the salary in all cases

While some senior contractor roles (particularly VP-level BD) can reach \$250K or more, a straightforward Senior PM role does not typically represent a 2x increase from GS-14.

#### WHY

The salary premium for transitioning from a GS-14 government role to a comparable senior contractor position is typically 25 to 50 percent in base salary. The tradeoff is real though: federal benefits, pension accrual, and job stability have genuine financial value. A government-to-contractor transition at GS-13 to GS-15 level makes financial sense for many professionals, but it should be a deliberate choice, not a reactive one.

**An engineer with deep technical expertise is offered a PM role. What is the most important question to ask before accepting?**

A. What is the salary increase

**✓ B. Whether they want a job whose work is getting results through other people rather than doing the technical work themselves**

C. How large the program is

D. Whether the program is ACAT I

#### WHY

The role is a change of profession, not a level. People who take it for the title usually discover that the part they were good at is now somebody else's job.

**Why is moving between government and contractor roles described as strategic rather than merely common?**

A. It always increases pay

**✓ B. Because understanding how the other side makes decisions, prices work and absorbs risk is difficult to learn from outside, and that perspective compounds over a career**

C. Because clearances transfer

D. Because it shortens the path to SES

**WHY**

Both sides negotiate constantly with people whose constraints they guess at. Having actually lived those constraints is the durable advantage.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 2

# Risk Management

14 min

*Build and execute a rigorous risk management program that prevents problems before they become crises.*

## Risk Management Is Just Seeing Problems Before They Happen

Think of a risk register like a weather forecast for your program. You can't stop the storm: but if you know it's coming, you can prepare. A PM who says their program has no risks isn't running a risk-free program. They're running a program where nobody's looking. Every defense program has technical risks (will it actually work?), schedule risks (will it be done in time?), funding risks (will Congress cut the budget mid-program?), and supply chain risks (can you get the parts?). The job isn't to eliminate uncertainty: it's to track it honestly and have a plan before problems become crises. DoD calls this framework RIO: Risk, Issue, and Opportunity management. Risk = might happen. Issue = already happening. Opportunity = something that could make things better if you act on it.

*Five steps, one loop. Skip "Plan" before "Identify," and you're just reacting.*

## Risk Scoring Formula

### 5×5 Risk Matrix: DoD Standard (Score = Probability × Impact)

| PROBABILITY ↓ /<br>IMPACT → | IMPACT 1<br>(MINIMAL) | IMPACT 2<br>(MINOR) | IMPACT 3<br>(MODERATE) | IMPACT 4<br>(SIGNIFICANT) | IMPACT 5<br>(CRITICAL) |
|-----------------------------|-----------------------|---------------------|------------------------|---------------------------|------------------------|
| P=5 Near Certain<br>(>80%)  | ● 5: MED              | ● 10:<br>HIGH       | ● 15: HIGH             | ● 20: HIGH                | ● 25: HIGH             |
| P=4 Likely (61–<br>80%)     | ● 4: MED              | ● 8: MED            | ● 12: HIGH             | ● 16: HIGH                | ● 20: HIGH             |
| P=3 Possible (41–<br>60%)   | ● 3: LOW              | ● 6: MED            | ● 9: MED               | ● 12: HIGH                | ● 15: HIGH             |
| P=2 Unlikely (21–<br>40%)   | ● 2: LOW              | ● 4: LOW            | ● 6: MED               | ● 8: MED                  | ● 10: HIGH             |
| P=1 Remote (≤20%)           | ● 1: LOW              | ● 2: LOW            | ● 3: LOW               | ● 4: MED                  | ● 5: MED               |

**READING THE MATRIX: REAL PROGRAM EXAMPLES**

GREEN (Low, 1–4): Monitor only. Log in risk register, review quarterly. Example: mild weather delay on a outdoor test range. YELLOW (Medium, 5–9): Develop mitigation plan with assigned owner and due date. Example: single-source supplier for a critical subcomponent. RED (High, 10–25): Immediate PM attention. Active mitigation, management reserve may be needed, brief MDA at next program review. Example: key technology not yet at TRL 6 entering EMD, or contractor staffing 20% below plan on critical path tasks.

**Sample Risk Register: Active Program Risks**

| RISK ID | DESCRIPTION                                                            | P | I | SCORE | LEVEL                                                                                   | MITIGATION                                               | OWNER     |
|---------|------------------------------------------------------------------------|---|---|-------|-----------------------------------------------------------------------------------------|----------------------------------------------------------|-----------|
| R-001   | Key subcontractor (radar ASIC) sole-source; no second source qualified | 4 | 5 | 20    |  HIGH  | Qualify alternate supplier by CDR; hold 3% MR            | CO / COR  |
| R-002   | Software TRL 5 at MS B; target TRL 7 by PDR not achieved               | 3 | 4 | 12    |  HIGH  | Add 6-week software sprint; daily stand-up with SE       | PM / SE   |
| R-003   | O&M funds may be swept in CR; test range unavailable                   | 3 | 3 | 9     |  MED | Identify alternate test window; brief FM on funding risk | FM / PM   |
| R-004   | Key engineer departure risk (2 staff eligible for retirement)          | 2 | 4 | 8     |  MED | Knowledge transfer plan; retention bonus request to HR   | Deputy PM |
| R-005   | Minor supplier late delivery on non-critical hardware                  | 2 | 2 | 4     |  LOW | Monitor via DCMA weekly report; no action required       | COR       |

**The RIO Management Process (DoD Standard)**

- **Identify: Brainstorm risks across technical, cost, schedule, and programmatic domains** Effective risk identification is a team sport: the PM, CO, finance lead, engineers, and contractor each see different risks. Use structured facilitation (risk workshops, checklists from similar programs, lessons-learned databases) rather than relying on individual memory. Common missed risks: GFE/GFI delivery delays, single points of failure in key personnel, regulatory changes that affect requirements, and supply chain risks for electronic components.
- **Analyze: Assess probability (1-5) and impact (1-5) for each risk, cost and schedule** Risk scoring must be honest, not optimistic. Programs that systematically under-score risks to avoid management attention end up with their "medium" risks materializing as program-killers. Use a defined scale with clear anchors: a

probability of 3 should mean roughly 50% likelihood, not "vaguely possible." Cost and schedule impact should be quantified in dollars and days where possible.

- **Plan: Develop mitigation strategies, owners, and timelines for high/medium risks** Every risk above the threshold should have: a mitigation owner (by name, not by title), specific mitigation actions with completion dates, and trigger conditions that would move the risk from "mitigation" to "contingency." Management Reserve (MR) should be budgeted to execute the contingency plan if mitigation fails. Underfunded MR is one of the most common structural problems in program risk management.
- **Track: Update risk register monthly; show burn-down trends at program reviews** The risk register is a living document, not a one-time deliverable. At each program review, show which risks were retired, which new risks were added, and how the probability/impact scores have changed. A risk burn-down curve (total risk score over time) shows whether the program is getting safer or more dangerous. Flat or rising risk scores in production are a serious signal.
- **Control: Execute mitigation actions, retire closed risks, elevate emerging risks** Risk control is where most programs fail: they identify and score risks thoroughly but don't hold owners accountable for mitigation execution. Monthly risk reviews should include mitigation action status: completed, on track, slipping. Slipping mitigation actions should be escalated to the PM immediately. Risks that were "closed" should be periodically reviewed: resolved risks have a way of re-opening when pressure increases.
- **Opportunities: Actively manage positive risks (early tech maturation, cost savings)** Opportunity management is the mirror of risk management and is almost always neglected. Positive risks: a supplier delivering early, a test that validates performance above the KPP threshold, a design trade that saves \$10M: should be actively exploited. The PM who discovers a cost savings opportunity and captures it in Management Reserve is in a much stronger position when a negative risk materializes.

#### MANAGEMENT RESERVE: YOUR SAFETY NET

MR is budget held back from the Performance Measurement Baseline (PMB) to fund identified risks. Typically 5-10% of the program budget. Using MR requires formal documentation and CO approval on cost-reimbursable contracts. PMs who protect their MR have the flexibility to weather surprises; those who spend it early on routine work find themselves with no cushion when real problems hit.

## Risk vs. Issue vs. Opportunity

| CATEGORY    | DEFINITION                        | MANAGEMENT ACTION                                       |
|-------------|-----------------------------------|---------------------------------------------------------|
| Risk        | A potential future adverse event  | Mitigate: reduce probability or impact before it occurs |
| Issue       | A risk that has materialized      | Resolve: develop corrective action plan immediately     |
| Opportunity | A potential future positive event | Exploit, enhance, share, or accept the benefit          |

## INTERMEDIATE

## Running an Effective Risk Review Board

Mid-career PMs who run Risk Review Boards (RRBs) must transform the risk register from a compliance document into a decision-making tool. Common failure modes: risks rated identically month after month with no change in status; risk owners who attend RRBs without new data; mitigation plans with due dates perpetually pushed out. Fix this with three disciplines: (1) require each risk owner to bring updated probability and impact ratings with data justification, "I still rate this 3×3 because nothing has changed" is not acceptable; (2) close risks that have been mitigated with documented evidence; (3) escalate risks that haven't moved in 90 days. Either they're not real risks, or they're not being worked. A 15-risk register where all 15 are "being monitored" is a risk register that has failed.

## ADVANCED

### OPPORTUNITY MANAGEMENT AND RISK RETIREMENT: THE SENIOR PM'S DISCIPLINE

Senior PMs manage both risk AND opportunity. The asymmetric upside that is often neglected in risk-focused cultures. An opportunity is an event that, if it occurs, would reduce cost, accelerate schedule, or improve performance. Examples: a technology maturation faster than planned that allows an earlier CDR; a competitor's contract performance failure that opens a sole-source opportunity; a congressional add that funds an accelerated production ramp. Opportunities require the same rigor as risks: owner, probability, value, exploitation plan, and trigger event. Senior PMs also understand risk retirement. When a risk's trigger date has passed without occurrence, formally close it and release the associated Management Reserve. Programs that never retire risks over-hold Management Reserve and underreport program health.

A risk register that nobody updates is just a paperwork exercise. I've been in program reviews where the risk register had the same 12 risks, same probability ratings, same mitigation notes: for four consecutive months. At that point it's a compliance artifact, not a management tool. The real signal is this: if a risk has been "yellow: being monitored" for 90 days with no movement, one of two things is true. Either it's not actually a risk (close it), or nobody's working the mitigation (that's a problem). Push your team to update ratings with actual data: not gut feel, not comfort, data. "We did X, and it reduced the likelihood from 4 to 2 because Y." That's a risk update. Everything else is just keeping the chart warm.

One sentence to teach your team: **a risk is something that has not happened yet and an issue is something that has, and the entire value of risk management lives in the gap between those two, because that gap is the only place you still have options.**

**BUILD ON THIS**

- **Common Mistakes New PMs Make** What happens when the register goes stale
- **Reading IPMR Reports** Where risk shows up in the performance data
- **Estimate at Completion** Turning unretired risk into a credible forecast

**Key Terms****Risk Register**

A documented log of identified risks including probability, impact, and mitigation plans.

**Risk Mitigation**

Actions taken to reduce the probability or impact of a risk.

**Opportunity Management**

Actively exploiting positive events to improve program outcomes.

**MR**

Management Reserve. Budget set aside to address identified and unforeseen risks.

**UB**

Undistributed Budget. Budget that has not yet been assigned to specific work packages.

**Risk Burn-down**

Tracking risk probability and impact over time as mitigation actions are executed.

**Risk Review Board (RRB)**

The recurring forum where risks are added, re-scored, funded and retired. Its output should be decisions, not a status readout.

**Mitigation Plan**

The funded, scheduled set of actions intended to lower a risk's probability or impact, with an owner and a date attached.

**Risk Retirement**

The point at which a risk can no longer occur, because the triggering event has passed or the mitigation has closed it out. Retirement is what a burn-down chart measures.

**Issue**

A risk that has occurred. It is no longer managed with probability and mitigation, but with corrective action and impact containment.

## Knowledge Check

**Management Reserve (MR) in a defense program is intended to:**

A. Cover known, well-defined work that is already planned

Incorrect. This describes the Performance Measurement Baseline (PMB). Management Reserve (MR) is budget held outside the PMB for unplanned in-scope work, specifically for risks and unforeseen events, not for planned work.

**✓ B. Fund identified risks and unforeseen events that affect the Performance Measurement Baseline**

Correct. MR is held by the PM above the PMB for unplanned, in-scope events. When an identified risk materializes, the PM can draw from MR to fund the additional work, after the MR draw is formally documented and approved.

C. Pay for program management overhead costs

Incorrect. Program management overhead is included within the PMB. MR is specifically for unplanned events, not for covering routine management costs.

D. Supplement the contractor's profit on cost-plus contracts

### WHY

MR is budget above the Performance Measurement Baseline (PMB) held at the program manager level to address identified risks and unforeseen events. It is NOT planned into the PMB and NOT associated with specific work packages. MR use requires formal justification.

**In a 5×5 risk matrix, a risk rated Probability=4 and Impact=4 would be classified as:**

A. Low risk

B. Medium risk

**✓ C. High risk**

D. Critical risk requiring immediate program restructure

### WHY

A P=4, I=4 risk scores 16 on a 25-point scale: firmly in the High risk category. DoD guidance calls for active mitigation plans, dedicated resources, and tracking at the senior PM level for high risks. The risk burn-down chart should show this risk trending down over time as mitigation actions are executed.

**What is a "risk burn-down chart" used for in defense program management?****A. Tracking the number of risks added per month**

Incorrect. Tracking the raw number of risks added per month is a process metric, not an indicator of risk management effectiveness. Meaningful risk tracking focuses on risk probability, impact, and mitigation progress.

**✓ B. Showing how risk probability and impact decrease over time as mitigation actions are executed**

Correct. Effective risk tracking demonstrates that the risk management process is actually reducing risk. The risk burn-down chart (number and severity of open risks over time) is the most powerful visualization of risk management effectiveness.

**C. Charting contractor cost overruns by risk category**

Incorrect. Charting actual cost overruns by risk category is a post-mortem activity. Proactive risk management tracks risks before they materialize, monitoring leading indicators and verifying that mitigation actions are being executed on schedule.

**D. Displaying the Management Reserve balance over time****WHY**

A risk burn-down chart tracks risk scores (probability × impact) over time as mitigation actions reduce them. It is a standard artifact at program reviews, demonstrating that the PM is actively managing risk: not just listing it. Flat or rising burn-down charts signal to leadership that mitigation is ineffective.

**Under DoD's RIO Management framework, what is the correct definition of an "Issue"?****A. A potential future adverse event that has not yet occurred**

Incorrect. This is the definition of a risk. Risk management distinguishes between risks (potential future events that may or may not occur) and issues (events that have already occurred). Risks have probability and impact assessments.

**✓ B. A risk that has already materialized and requires a corrective action plan**

Correct. When a risk materializes, it becomes an issue. The risk register entry transitions to the issue log. The response shifts from mitigation (preventing occurrence) to corrective action (managing the impact).

**C. Any unplanned cost or schedule variance**

Incorrect. Not all variances are risks. A variance is a measurement of actual performance against plan. A risk is a potential future adverse event. However, variances can indicate risk materialization or be early warning indicators of emerging risks.

**D. A concern raised by the contractor that has not been resolved****WHY**

In the DoD Risk, Issue, and Opportunity (RIO) framework, an Issue is specifically a risk that has materialized: it is no longer a potential event but an actual problem requiring resolution. Issues require corrective action plans with assigned owners, timelines, and escalation paths if not resolved.

**Undistributed Budget (UB) in a defense program refers to:**

- A. Budget that has been allocated but not yet spent

Incorrect. 'Budget allocated but not spent' describes BCWS vs. ACWP, an EVM concept. Neither BCWS nor the difference between BCWS and ACWP is the definition of a risk.

- ✓ **B. Budget that has not yet been assigned to specific control accounts or work packages**

Correct for Undistributed Budget (UB). UB represents authorized program budget not yet distributed to specific WBS elements. In EVM, UB appears in Format 3 (Baseline) and should decrease as the program matures.

- C. The contractor's fee on a cost-plus contract

- D. Reserve funding held by the contracting officer

**WHY**

Undistributed Budget (UB) is budget within the program's Total Allocated Budget that has not yet been distributed to specific control accounts or work packages. It typically occurs when work scope is known but not yet formally assigned. UB must be distributed as planning progresses and cannot remain undistributed indefinitely.

**Which of the following is an example of "Opportunity Management" in defense programs?**

- A. Identifying a new contract vehicle that reduces administrative costs

Incorrect for risk response context. Identifying a new contract vehicle is an opportunity response, exploiting an opportunity. Vehicle selection is a pre-award acquisition strategy decision.

- ✓ **B. Exploiting early technology maturation to reduce schedule by accelerating testing**

Correct. This is a classic opportunity response, when technology matures faster than expected, the PM can exploit that maturation to accelerate the test program and potentially reduce schedule. Opportunity management proactively exploits favorable program conditions.

- C. Hiring additional staff to address a schedule delay

Incorrect for risk response. Hiring additional staff to address an existing schedule delay is an issue response (corrective action), not a risk response. Risk responses are planned before the event occurs.

- D. Requesting supplemental funding from Congress

**WHY**

Opportunity management involves actively exploiting positive risks: events that, if they occur, would benefit the program. Early technology maturation allowing accelerated testing is a classic opportunity. PMs should manage opportunities with the same rigor as risks: identify, analyze, plan exploitation, and track.

**A program is at the 15% completion point with a CPI of 0.72. Based on historical DoD program data, what is the most likely outcome?**

A. The program will likely recover to a CPI > 0.90 by completion

Incorrect. Empirical research (Christensen, 1999; Solomon, 2014) consistently shows that CPI rarely improves significantly after the 20% completion point. A program at 20%+ completion with CPI = 0.80 is statistically unlikely to recover above 0.85 at completion.

B. This is too early to draw meaningful conclusions about final CPI

Incorrect for programs past 20% completion. Research shows that after 20% completion, CPI stabilizes and the  $EAC = BAC/CPI$  formula becomes highly predictive (within  $\pm 10\%$  of final cost 70% of the time). 'Too early' applies only at very low percent completion.

**✓ C. The CPI is unlikely to recover significantly; a substantial cost overrun at completion is probable**

Correct. This is the empirically supported conclusion for a program past 20% completion with declining CPI. The PM must: (1) recalculate EAC using  $BAC/CPI$ , (2) validate with bottoms-up analysis, (3) brief the PEO/SAE on the revised estimate, and (4) develop a corrective action plan.

D. The program will be restructured within 6 months

#### WHY

Research by David Christensen and others demonstrates that CPI rarely improves once programs are 20%+ complete. A CPI of 0.72 at 15% completion is a serious warning sign. While some recovery is possible, the statistical likelihood of finishing near budget is low. The PM should be preparing a formal re-baseline or program restructure.

**What does the DoD's "5-step" risk management process include in order?**

A. Plan, Identify, Analyze, Track, Control

Correct. The DoD Risk Management process follows this five-step cycle: (1) Plan, establish the risk management approach; (2) Identify, systematically find potential risks; (3) Analyze, assess probability and impact; (4) Track, monitor risk indicators and mitigation progress; (5) Control, implement mitigation actions and update the risk register.

**✓ B. Identify, Analyze, Plan, Track, Control**

Incorrect. The DoD framework begins with Plan (establishing the approach before identifying risks). The correct sequence is Plan, Identify, Analyze, Track, Control. Starting with Identify before establishing a risk management plan leads to inconsistent, unstructured risk identification.

C. Analyze, Identify, Mitigate, Retire, Report

Incorrect. This is not the standard DoD Risk Management framework. 'Retire' is not a distinct phase in the DoD 5-step process. The correct sequence is Plan, Identify, Analyze, Track, Control.

D. Identify, Plan, Execute, Assess, Close

#### WHY

The DoD RIO Management Guide defines the five-step process as: Identify (brainstorm risks), Analyze (assess probability and impact), Plan (develop mitigation strategies), Track (monitor risk status at reviews), and Control (execute mitigations and retire closed risks). This sequence is important: you cannot plan before you analyze.

**When should Management Reserve (MR) typically be included in a program's budget?**

A. MR is never included: it violates the Anti-Deficiency Act

Incorrect. Management Reserve is a standard and required element of EVM-based program management. MR is held above the PMB but within the total program budget: it does not violate the Anti-Deficiency Act. MR is pre-authorized by the government within the program's total budget authority.

✓ **B. MR is included above the Performance Measurement Baseline to cover risk events**

Correct. MR sits above the PMB in the total program budget hierarchy:  $MR + PMB = \text{Contract Budget Base (CBB)}$ . MR is available to the PM for unplanned, in-scope work, drawn down via formal MR authorization and documented in CPR Format 3.

C. MR is held by the contracting officer and cannot be accessed by the PM

Incorrect. MR is held by the PM (or program office), not the contracting officer. The PM controls MR usage within the bounds of the contract's EVM provisions.

D. MR is only available on fixed-price contracts

**WHY**

MR is legitimate and expected in defense programs. It is held above the PMB by the PM (not built into individual work packages) and used to respond to identified risks or unforeseen events. On cost-type contracts, accessing MR typically requires a contract modification. MR is distinct from contractor-held contingency.

**Which review type is specifically designed to validate that identified risks have adequate mitigation plans before proceeding to the next program phase?**

A. System Requirements Review (SRR)

B. In-Process Review (IPR)

✓ **C. Risk Management Review (RMR)**

D. Program Management Review (PMR)

**WHY**

A Risk Management Review (RMR) is a dedicated program review focused specifically on the status of the risk register, burn-down progress, and adequacy of mitigation plans. Unlike PMRs which cover all program aspects, RMRs provide focused scrutiny on risk posture and are often held quarterly or before major milestone events.

**A program's risk register has shown the same twelve risks with the same scores for eight months. What does an experienced reviewer conclude?**

A. The program is stable

✓ **B. The register is not being managed, since real programs retire risks and discover new ones continuously, and a static register means nobody is re-scoring or closing anything**

C. The mitigations are working

D. Risk scores should never change

**WHY**

A healthy register churns. Static scores usually mean the board reads the list rather than working it.

**Why does spending Management Reserve require a documented decision rather than a simple transfer?**

A. It is a legal requirement of the Antideficiency Act

✓ **B. Because MR sits outside the performance measurement baseline, so moving it in changes the baseline work is measured against and must be traceable to a specific realized risk**

C. MR cannot be spent

D. Because MR belongs to the contracting officer

**WHY**

Undocumented MR consumption is indistinguishable from quietly rebaselining, which is why the trail matters more than the amount.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 3

# Stakeholder Management & Communication

13 min

*Build the relationships and communication skills that separate effective PMs from mere managers.*

## Programs Are a People Business

The most technically sound acquisition strategy will fail if the PM cannot build coalitions, manage upward expectations, and communicate clearly to decision-makers who have 10 minutes to understand your program. The ability to distill complex program status into a crisp, data-backed narrative is one of the most valuable skills in defense acquisitions.

## The PM's Stakeholder Map

- **Program Executive Officer (PEO), often now a Portfolio Acquisition Executive (PAE): Your direct superior; manages your portfolio and fights for your resources** The PEO (or PAE, on programs that have already transitioned under the FY2026 NDAA) is both your advocate and your evaluator. They fight for your program in POM deliberations, defend you in front of the SAE and OSD, and hold you accountable for performance. The PAE role goes further than the old PEO role: a PAE can shift funding and adjust requirements across every program in their portfolio, not just advocate for one program at a time. A PM who keeps this person informed and never surprises them with bad news builds the trust that translates into budget support during difficult reviews. A PM who hides problems loses that confidence: usually permanently.
- **Service Acquisition Executive (SAE): Delegated authority over all acquisition programs for the Service** The SAE is a Senate-confirmed civilian (ASA(ALT), ASN(RDA), or SAF/AQ). They approve major acquisition strategies, chair ACAT I milestone reviews, and have direct visibility into Congressional relations for the service's acquisition portfolio. A PM briefing the SAE for the first time should expect hard questions about cost, schedule, and risk: and should be able to answer all of them without notes.
- **USD(A&S): Ultimate DoD acquisition authority; sees ACAT I programs at milestone reviews** The Under Secretary of Defense for Acquisition and Sustainment oversees the entire DoD acquisition enterprise. For ACAT ID programs, USD(A&S) is the Milestone Decision Authority. At milestone reviews, USD(A&S) receives briefings from the program office, CAPE, DOT&E, and DCMA: each presenting their independent assessment. Programs that have managed these relationships proactively have fewer surprises at the table.
- **Program Office Team: Engineers, logisticians, financial managers, contracting officers, CORs** The integrated program office team is the PM's most critical stakeholder group and most important accountability mechanism. A PM is only as effective as their team. Investing in team development, clearly defining lanes of responsibility, and creating a culture where people surface problems early rather than hiding them is the difference between a functional program office and a dysfunctional one.

- **Combatant Commands: The warfighters who will use the system: their requirements drive everything** Combatant Commands (COCOMs) and their component commands are the ultimate customers: the people who will actually use the capability being acquired. PMs who lose sight of the warfighter and become consumed by internal DoD bureaucracy often find themselves delivering technically compliant systems that don't meet operational needs. Regular operational interface and user engagement throughout the program lifecycle is essential.
- **Congressional Staff: Monitors programs on their committees; a single staffer can affect funding** Congressional staff on the HASC, SASC, HAC-D, and SAC-D are among the most powerful stakeholders in any major program: and the most underestimated by program offices. A single staffer who loses confidence in a program can insert reporting requirements, fund restrictions, or rescissions in legislation. PMs of ACAT I programs should know the key staffers by name and ensure their PEO is maintaining regular communication.
- **Contractors: Partners in program execution; relationship management is critical** The PM-contractor relationship is a managed partnership, not an adversarial one. Programs where the government treats contractors purely as vendors to be squeezed consistently underperform: contractor innovation, proactive risk surfacing, and best-effort performance all improve when the relationship is collaborative. This doesn't mean being soft on performance: it means being clear about expectations, fair in evaluation, and honest about problems.
- **OSD Cost / CAPE: Independent cost analysis; often skeptical of program office estimates** CAPE ICEs are almost always higher than program office estimates: and history shows CAPE is usually right. CAPE uses parametric models calibrated to historical program data rather than the optimistic assumptions that program offices naturally favor. PMs who engage CAPE early, share data proactively, and address CAPE's methodological concerns before the milestone review significantly reduce the "surprise" factor in the milestone briefing.

#### WHAT IS A PAE, AND WHY DOES MY PEO HAVE A NEW TITLE?

Section 1802 of the FY2026 NDAA created a new role called a Portfolio Acquisition Executive, or PAE. Think of it as a PEO with a bigger toolbox. A regular PEO manages a group of programs and advocates for them up the chain. A PAE owns an entire capability portfolio start to finish, and can move funding and adjust requirements across every program in that portfolio without waiting for a separate approval on each one. The goal is speed: instead of five programs each fighting for their own budget, one PAE can shift money to whichever program in the portfolio needs it most right now. Every service is actively converting PEO organizations into PAEs through 2026. If your PEO's title, org chart, or authority just changed, this is why. As a PM, the practical difference is who you're briefing and how much authority sits in that one meeting.

**THE "1-3-5" COMMUNICATION RULE**

Structure every executive brief as: 1 core message (what do I need you to know?), 3 supporting data points (why should you believe me?), 5 minutes maximum for the verbal summary. Senior leaders are making decisions across dozens of programs: the PM who can brief clearly and confidently earns trust and resources.

**Common Defense Program Reviews**

| REVIEW                           | PURPOSE                                                  | AUDIENCE              | TYPICAL CADENCE   |
|----------------------------------|----------------------------------------------------------|-----------------------|-------------------|
| Monthly Status Review (MSR)      | Program health update: cost, schedule, performance, risk | PEO / PM              | Monthly           |
| System Requirements Review (SRR) | Validate system requirements are complete and feasible   | IPT, PEO              | Once (Phase A)    |
| Preliminary Design Review (PDR)  | Validate system design satisfies all requirements        | IPT, PEO, ACAT I: DAB | Once (Phase B)    |
| Critical Design Review (CDR)     | Validate detailed design is mature enough to build       | IPT, PEO, ACAT I: DAB | Once (Phase C)    |
| Test Readiness Review (TRR)      | Confirm system is ready for developmental testing        | IPT, OT&E office      | Pre-test events   |
| Defense Acquisition Board (DAB)  | Milestone decisions for ACAT I programs                  | USD(A&S)              | At each milestone |

**BUILDING YOUR NETWORK EARLY**

The acquisition community is small. The Captain or Major you work with today is the Colonel or General you'll brief in 10 years. The GS-11 analyst across the table becomes the SES you'll be pitching your company to. Invest in every professional relationship: return calls, deliver on commitments, and be the person who solves problems rather than creates them.

**INTERMEDIATE****Managing Up: Briefing Flag Officers and SES Officials**

Mid-career PMs who brief flag officers and SES officials must master a different communication register than the one they use with their team. Three rules for flag-level briefings: (1) State the problem in the first 30 seconds. Senior leaders do not have patience for context-building before the issue; (2) Present no more

than three options with a clear recommendation. Decision makers who are given seven options with no recommendation will make no decision; (3) Know the difference between informing and deciding. Some briefings are status updates, some require a decision. Be explicit about which one you're presenting. The most common mid-career failure: walking into a flag-level review to "provide an update" and leaving with no decision when a decision was urgently needed. Prepare your ask in advance.

#### ADVANCED

##### CONGRESSIONAL LIAISON: PROTECTING YOUR PROGRAM THROUGH THE HILL

Senior PMs on major programs interact with congressional staff, whether they realize it or not. The rules: (1) all congressional communications go through your legislative liaison office. Never independently contact a congressional office; (2) Congressional Budget Justification Books (CBJB) are your primary public narrative. Invest in them as carefully as you invest in milestone briefings, because Hill staffers read them; (3) Classified program briefs to HASC/SASC staff are opportunities to build program support. Use them; (4) if your program receives a congressional mark (reduction, add, or fence), understand what drove it. Usually either a performance concern that surfaced publicly or a constituent interest. Fix the performance concern; support the constituent interest where it aligns with program needs. Programs with strong Hill relationships consistently outperform programs that ignore Congress.

##### WHAT SENIOR PMS DO DIFFERENTLY

They build relationships with the offices that can hurt their program long before they need anything from them, and they route every congressional contact through legislative affairs without exception, because one informal conversation with a staffer can become a program's worst week.

One sentence to teach your team: **the technically correct answer delivered badly to the wrong audience loses to the merely adequate answer delivered well, because programs are killed and saved by people who were never in the room when the analysis was done.**

##### BUILD ON THIS

- **What Program Managers Actually Do** Why this is most of the job
- **Monthly Status Reports** Stakeholder communication in written form
- **How DoD Money Works** Why the Hill is a stakeholder whether you like it or not

## Key Terms

### **DAB**

Defense Acquisition Board. OSD-level review for major programs at milestone decisions.

### **IPT**

Integrated Product Team. A cross-functional team responsible for a specific area of the program.

### **OIPT**

Overarching Integrated Product Team. Senior-level IPT that resolves cross-functional issues.

### **PEO**

Program Executive Officer. The management layer between the PM and the Service Acquisition Executive. Many PEO organizations are currently being reorganized into Portfolio Acquisition Executives (PAEs) under the FY2026 NDAA. See PAE below.

### **PAE**

Portfolio Acquisition Executive. A new role created by Section 1802 of the FY2026 NDAA. A PAE owns an entire capability portfolio cradle to grave, with authority to shift funding and adjust requirements across programs inside that portfolio. Every service is actively standing up PAEs and folding existing PEO organizations into them as of 2026. If your PEO just got a new title or a new org chart, this is why.

### **SAE**

Service Acquisition Executive. The senior acquisition official for each Military Department.

### **Portfolio Acquisition Executive (PAE)**

A role created by Section 1802 of the FY2026 NDAA, giving a portfolio-level executive broader authority to move resources and requirements across programs.

### **Milestone Decision Authority (MDA)**

The official empowered to approve a program's passage through an acquisition milestone. Knowing who yours is, and what they care about, shapes every brief.

### **Legislative Affairs**

The office that owns all official communication with Congress. Program offices route through it rather than around it.

### **Integrated Product Team (IPT)**

A cross-functional team with the members needed to make a decision in the room. An IPT without decision authority is a status meeting.

## Knowledge Check

### A Critical Design Review (CDR) is typically conducted to:

- A. Validate that system requirements are complete at the beginning of Engineering & Manufacturing Development

Incorrect for PDR/CDR context. This describes the Systems Requirements Review (SRR) objective. PDR confirms the preliminary design meets requirements; CDR confirms the detailed design is stable enough to proceed to production.

✓ **B. Confirm the detailed design is sufficiently mature to proceed with production**

Correct for CDR. The Critical Design Review (CDR) is held late in Engineering & Manufacturing Development. Its purpose is to confirm: (1) the detailed design is complete and meets all requirements; (2) manufacturing processes are defined; (3) the design is stable enough to proceed to LRIP.

- C. Approve the program's budget and schedule baseline at Milestone B

- D. Review contractor past performance before source selection

#### WHY

The Critical Design Review (CDR) confirms the detailed design is stable and mature enough to enter production. CDR examines complete design drawings, technical risk, test plans, and manufacturing readiness. A failed CDR typically results in a program pause and design rework.

### The Program Executive Officer (PEO) in the defense acquisition hierarchy primarily:

- A. Signs all contracts on behalf of the government

Incorrect as a description of the PEO. The PEO is a senior acquisition official providing oversight of a portfolio of programs, not a contracting authority. Contract signing authority rests with the Contracting Officer.

✓ **B. Manages a portfolio of programs and is the direct superior of individual Program Managers**

Correct. The PEO manages a portfolio of related acquisition programs, with individual PMs reporting to the PEO. Examples: PEO Aviation (Army), PEO Ships (Navy), PEO C2 (Air Force). The PEO is accountable to the SAE for portfolio health.

- C. Reports directly to the Secretary of Defense

Incorrect for PEO. PEOs report to the Service Acquisition Executive (SAE), who reports to the Service Secretary, not directly to SECDEF.

- D. Represents Congress's oversight interest in acquisition programs

#### WHY

The PEO manages a portfolio of related acquisition programs and serves as the direct superior to individual PMs. PEOs report to the Service Acquisition Executive (SAE) and are typically general officers or senior civilian equivalents. They fight for resources, resolve cross-program issues, and represent their portfolio at senior acquisition forums.

**An Integrated Product Team (IPT) in defense acquisitions is best described as:****A. A congressional oversight committee for major programs**

Incorrect. Congressional oversight committees (SASC, HASC, SAC-D, HAC-D) provide legislative oversight but are not program management organizations. They do not approve milestone decisions.

**✓ B. A cross-functional team of government and contractor representatives responsible for a specific program area**

Incorrect for PEO. This describes an Integrated Product Team (IPT). The PEO is an individual senior official with a portfolio of programs.

**C. An OSD-level board that approves milestone decisions**

Incorrect for PEO. The Defense Acquisition Board (DAB) is the OSD-level body that reviews major milestone decisions for ACAT I programs. The PEO is a service-level official.

**D. A testing organization that certifies systems for operational use****WHY**

IPTs are cross-functional teams that bring together all relevant functional areas (engineering, logistics, finance, contracting, testing) to collaboratively manage a specific aspect of a program. The Overarching IPT (OIPT) sits above program-level IPTs and resolves cross-functional conflicts that cannot be resolved at the program level.

**Which stakeholder group is most responsible for generating the requirements that drive defense acquisition programs?****A. OSD Cost Assessment and Program Evaluation (CAPE)**

Incorrect. CAPE is the OSD office responsible for independent cost estimates, program assessments, and analytical support to USD(A&S) and SECDEF. CAPE produces Independent Cost Estimates (ICEs) for ACAT I programs at milestone reviews.

**B. Congressional defense committees**

Incorrect. SASC, HASC, SAC-D, and HAC-D provide legislative oversight. They authorize programs through the NDAA and fund them through appropriations. Congressional concerns can delay milestones, reduce funding, or mandate program restructuring.

**✓ C. Combatant Commands and operational users through JCIDS**

Correct. The warfighter need originates with Combatant Commands and operational users. Through the JCIDS process, operational users document capability gaps, which drive requirements documents (ICD, CDD, CPD).

**D. Defense contractors during market research****WHY**

Requirements for new military systems originate from the warfighters: the Combatant Commands and operational users who identify capability gaps. These needs flow through the Joint Capabilities Integration and Development System (JCIDS), which validates and prioritizes requirements before they reach the acquisition system.

**The "1-3-5" executive communication rule is designed to:****A. Limit briefings to 1 slide, 3 bullets, and 5 minutes of Q&A**

Incorrect for executive acquisition communications. This is an extreme oversimplification. Executive acquisition briefings have specific content requirements, APB status, CPI/SPI trends, major risks, and upcoming decisions.

**✓ B. Structure communications as 1 core message, 3 supporting data points, and 5-minute verbal summary**

Correct. This is a practical executive communication framework for program office briefings. Lead with the single most important message, support it with three data points, and be prepared to deliver the summary in 5 minutes or less.

**C. Set 1-year, 3-year, and 5-year program objectives for executives**

Incorrect for briefing structure. Setting long-range objectives is a program planning function, not an executive briefing communication structure.

**D. Require 1 weekly, 3 monthly, and 5 quarterly reviews for ACAT I programs****WHY**

The 1-3-5 rule structures executive communication for maximum clarity: 1 core message (what you need the leader to know or decide), 3 supporting data points (the evidence), and a 5-minute verbal summary. Senior acquisition leaders manage many programs simultaneously: concise, structured communication earns credibility and trust.

**A System Requirements Review (SRR) is conducted at which point in the acquisition lifecycle?****A. After Milestone C, before production begins**

Incorrect. Milestone B occurs before Milestone C. Milestone B authorizes entry into EMD, long before Milestone C (which authorizes production).

**B. Before Milestone A, during the Materiel Solution Analysis phase**

Correct for the ICD. The Initial Capabilities Document is validated before Milestone A as an input to the MSA phase. The ICD establishes the capability gap and potential approaches, informing the AoA and Milestone A decision.

**✓ C. During the Technology Maturation and Risk Reduction phase (Phase A)**

Correct for the CDD. The CDD is typically drafted and validated during the TMRR phase, after Milestone A and before Milestone B. The CDD defines the detailed system requirements (KPPs, KSAs, APAs).

**D. After Critical Design Review, before testing begins****WHY**

The SRR is conducted during the Technology Maturation and Risk Reduction (TMRR) phase: Phase A: to validate that system-level requirements are complete, feasible, and testable before design begins. Conducting an SRR too late (after design has started) is a common and costly mistake.

## Congressional staff members who monitor defense acquisition programs are significant stakeholders because:

### A. They can directly cancel programs through committee votes at any time

Incorrect. Congress cannot cancel individual programs through simple committee votes, it must act through legislation (authorization or appropriations). Program termination requires legal action, not informal committee action.

### ✓ B. They influence authorization and appropriations legislation, and their concerns can affect program funding and direction

Correct. Congress exercises acquisition oversight through: (1) the NDAA (authorization), establishing program authorities and setting acquisition policy; and (2) appropriations acts, actually funding programs. Congressional concerns can lead PEOs and PMs to restructure programs proactively.

### C. They must approve all contracts over \$100M

Incorrect. Congress does not approve individual contracts. Contracts are executed by executive branch contracting officers under delegated authority. Congress sets overall funding levels but does not approve individual contract awards.

### D. They conduct independent technical reviews of all ACAT I programs

#### WHY

Congressional staff on defense authorization and appropriations committees wield significant influence. They can add or cut program funding, attach restrictive conditions, require reports, or trigger oversight hearings. A well-briefed congressional staffer is an ally; an uninformed or adversarial staffer can complicate program execution considerably.

## The Defense Acquisition Board (DAB) primarily serves which function?

### A. Managing day-to-day program execution for all ACAT programs

Incorrect for USD(A&S). The USD(A&S) is the senior executive responsible for defense acquisition policy, not day-to-day program management. Day-to-day execution is the PM's job. USD(A&S) serves as MDA for ACAT I programs.

### ✓ B. Providing milestone decision authority for ACAT I programs to USD(A&S)

Correct. USD(A&S) serves as the Milestone Decision Authority (MDA) for ACAT I programs, the most significant acquisition decisions in the DoD portfolio. For ACAT II and III, MDA is delegated to Component Acquisition Executives (CAEs) and PEOs.

### C. Conducting annual budget reviews for the FYDP

Correct for OSD/CAPE's role. The FYDP (Future Years Defense Program) is the five-year investment plan for DoD programs. Annual reviews are conducted through the PPBE process, with CAPE providing analytical support.

### D. Certifying contracting officers for major acquisitions

#### WHY

The Defense Acquisition Board (DAB) is the senior DoD forum for reviewing major defense acquisition programs at milestone decisions. USD(A&S) serves as the DAB chair for ACAT I programs. The DAB examines program status across cost, schedule, performance, and risk before authorizing transition to the next acquisition phase.

**When preparing a Monthly Status Review (MSR) for the PEO, what information should the PM always be ready to present?**

A. Contractor profit margins and fee structures

Incorrect for DAES reporting. The Defense Acquisition Executive Summary (DAES) is a quarterly report on major programs covering cost, schedule, and performance. It does not detail contractor profit margins, that information is proprietary.

**✓ B. Cost and schedule performance (CPI/SPI), technical progress, risk status, and upcoming decision points**

Correct. The DAES reports key program health indicators to OSD and Congress: EVM data (CPI/SPI for ACAT I programs), APB compliance, risk status, upcoming milestones, and program office assessment.

C. Individual employee performance ratings

Incorrect. Government program employee performance ratings are a personnel matter, not reported in program oversight documents. DAES focuses on program-level cost, schedule, and technical performance.

D. Market research data for future acquisitions

#### WHY

An MSR should provide a complete picture of program health: EVM metrics (CPI, SPI), technical performance against requirements, risk register status and burn-down, schedule milestones, and upcoming key decisions. PEOs need this data to manage their portfolio and escalate issues before they become crises.

**OSD's Cost Assessment and Program Evaluation (CAPE) office is frequently perceived as adversarial by program offices because:**

A. CAPE has authority to cancel programs unilaterally

Incorrect. CAPE is an analytical office, it does not have independent authority to cancel programs. CAPE provides analysis and recommendations to USD(A&S) and SECDEF, who have the authority to restructure or terminate programs.

**✓ B. CAPE's independent cost estimates are typically higher than program office estimates, and they are often statistically more accurate**

C. CAPE controls the release of all program funding

Incorrect. Funding release is controlled through the financial management chain, OMB, OSD(Comptroller), Service comptrollers. CAPE influences program funding through its analytical role in the PPBE process but does not control funding release.

D. CAPE approves all contract modifications over \$10M

#### WHY

CAPE produces independent cost assessments that are almost always higher than program office estimates: and historical data shows CAPE is typically more accurate. This creates tension, but experienced PMs understand that engaging CAPE early and addressing their methodological concerns proactively is far better than being surprised at a milestone review.

**A congressional staffer calls a program manager directly asking for cost data on the program. What is the correct response?**

A. Provide the data; it is a legitimate oversight request

**✓ B. Be courteous, provide nothing, and route the request immediately through legislative affairs, because all congressional communication goes through that channel**

C. Refer them to the contractor

D. Decline and report the call as improper

**WHY**

The request may be entirely legitimate. The channel still matters, because an unofficial answer becomes the official record without anyone reviewing it.

**What is the purpose of the 1-3-5 briefing structure with a flag officer or SES audience?**

A. To fill the allotted time

**✓ B. To deliver one core message with three supporting points in about five minutes, because senior decision-makers need the ask and the evidence before the detail**

C. To avoid answering questions

D. To standardize slide templates

**WHY**

Executive attention is the scarce resource. Structuring for it is a courtesy that also happens to be how you get a decision.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 4

# Subcontractor Management

16 min

*What you can and can't do with a subcontractor, what to lock in before you sign them, and how to catch a problem before it wrecks your schedule.*

## You Don't Manage the Sub. You Manage the Prime Who Manages the Sub.

Here's the part that trips people up: as the government PM, you have zero legal relationship with the subcontractor. None. You can't call them, can't direct them, can't even really complain to them directly. Your contract is with the prime, full stop. But don't get too comfortable with that boundary, because subcontractor screwups are the number one reason programs slip. So while you legally can't touch the sub, you'd better be watching the prime like a hawk to make sure the prime is watching the sub like a hawk. When the sub drops the ball, guess who's holding the bag with you? The prime. Every single time. (One heads up: everything below assumes you're the government PM working through the prime, until we flag the contractor PM side separately later on, because that side plays by completely different rules.)

### WHAT DOES "MANAGE THE SUB" ACTUALLY MEAN?

Don't write checks you can't cash. The government gave you \$1M. Don't turn around and sign your sub up for \$1.4M because they seemed capable and you got excited. Your subcontract value can't exceed your own funding without a mod, and I've watched this exact math error sink otherwise-fine programs. And never fully fund a sub upfront. Release money in tranches tied to milestones for T&M work, or tie it to deliverable acceptance for FFP. A sub who still needs your signature to get paid returns your calls a lot faster than one who's already been paid in full.

### INSIGHT VS. OVERSIGHT: THE LINE YOU CANNOT CROSS

Think of it like being a landlord who can inspect the property but can't tell the tenant's plumber how to fix the sink. You get 'insight': the right to see performance data, sit in on reviews, and ask hard questions. You don't get 'oversight': the right to actually direct the subcontractor's work. That belongs to the prime, and only the prime. Cross that line and you've created an unauthorized commitment, which is the kind of paperwork nobody wants their name attached to.

## What You Should Confirm Your Prime Has in Place

- **A clear list of who the critical subs actually are, and why** If a sub failing would blow up your schedule, trigger a Nunn-McCurdy breach, or leave you with zero backup source for a part, that sub is critical. Ask the prime to name them by name. Don't assume they've already done this.

- **A monthly review rhythm you actually see, not just hear about** Not a report that just says "green." Real status, staffing levels, and open risks on each critical sub, every month, without you having to chase it down.
- **A one-sentence answer for "what happens when a sub misses a milestone?"** If the prime can't answer that in one sentence, they don't have a real process. That's your red flag to push harder before the next review, not after.
- **Proof the required flow-down clauses actually made it into the subcontract** Cybersecurity requirements especially (DFARS 252.204-7012). This is exactly where compliance gaps hide, and where DCMA and DCAA audits find them, always at the worst possible time.

## Before You Sign: What to Negotiate Into the Subcontract

- **Timecards in YOUR system, not theirs** If your sub logs hours directly into your Cost Accounting System (CAS), you can recognize revenue and bill the government the same month, before their invoice even hits your inbox. If they invoice separately on their own schedule instead, you're stuck waiting on their paperwork before you can bill the government on a T&M contract. That lag is real cash sitting on the sidelines every month, for the life of the contract. Get them into your system if you possibly can.
- **Payment terms that protect you without scaring off good subs** Don't fund 100% upfront. But Net 90 is also a great way to make sure only the desperate subs bid your work. Net 30 tied to invoice approval is the normal, sane middle ground.
- **Rate caps across every option year** Lock in how their labor rates are allowed to grow, now, before signature. An uncapped escalation clause turns into a nasty surprise in option year three that nobody budgeted for.
- **Audit and records access** Make sure you can actually see their cost data if DCAA ever comes knocking on your purchasing system. You don't want to be scrambling for records from a sub who suddenly stops returning your emails.
- **A named owner for flow-down compliance** Somebody has to actually read FAR 52.244-6 and figure out which clauses apply to this sub. It does not "just happen" on its own. Assign it to a specific person, in writing, before signature.
- **Termination rights that match your own contract, both ways** If the government can terminate you for convenience, you need that same right over your sub. And you need a real Termination for Cause clause for when they simply fail to perform. Mismatched termination language is one of the more expensive mistakes a contracts team makes, and you find out at the worst possible time.

*Four negotiation points that separate a subcontract you control from one that controls you.*

**THE SUB GOES SILENT. NOW WHAT?**

The most dangerous sub isn't the one who tells you they're behind. It's the one who goes quiet. When a sub starts skipping status calls, sending vague one-line updates, or their PM "isn't available" three weeks running, that's the signal. Not some official notification letter. The silence itself. At that point, stop waiting for the prime to bring it to you. They might be trying to fix it quietly so they don't have to look bad in front of you. Call the prime PM directly and ask a specific question: "Walk me through exactly where your sub stands on [deliverable], today." If they can't give you specifics, that's your answer right there. Hold your next funding tranche. Put the Corrective Action Request in writing. If it's on the critical path, put a 30-day cure notice on the table. You have far more leverage before a missed milestone than after one. Spend it early, not late.

**Key DFARS Flow-Down Clauses**

| CLAUSE                | REQUIREMENT                                                                | APPLIES TO                              |
|-----------------------|----------------------------------------------------------------------------|-----------------------------------------|
| DFARS<br>252.204-7012 | Safeguarding Covered Defense Information & Cyber Incident Reporting        | All subs handling CDI/CUI               |
| DFARS<br>252.246-7007 | Contractor Counterfeit Electronic Parts Detection & Avoidance              | Electronic parts subcontracts           |
| DFARS<br>252.225-7009 | Restriction on Acquisition of Certain Articles Containing Specialty Metals | Applicable subs with specialty metals   |
| FAR 52.219-9          | Small Business Subcontracting Plan                                         | Large business prime > \$750K threshold |
| FAR 52.222-26         | Equal Opportunity clause                                                   | Most subcontracts > \$10K               |
| DFARS<br>252.244-7001 | Contractor Purchasing System Administration                                | Cost-reimbursable contracts             |

**Consent to Subcontract: The Government Gets a Vote Too**

On cost-reimbursable contracts, the prime can't just pick a subcontractor and go. Above certain dollar thresholds (roughly \$1.5M for cost-type, higher for FFP), the Contracting Officer has to formally 'consent to subcontract' first. That means the CO reviews the sub's price, qualifications, and how competitively they were selected before signing off. As the PM, don't let this become a surprise bottleneck. Know when a consent request is coming and hand the CO the technical justification early, so it doesn't sit on a desk for three weeks while your schedule burns.

## Subcontract Type vs. Government Visibility

| SUBCONTRACT TYPE            | GOVERNMENT VISIBILITY                                                                  | KEY OVERSIGHT MECHANISM                          |
|-----------------------------|----------------------------------------------------------------------------------------|--------------------------------------------------|
| Major subcontract (> \$25M) | High: prime required to provide performance data; DCMA may conduct independent reviews | Monthly sub-IPT reviews, CPSR, IPMR Format 2     |
| Critical path subcontract   | High: regardless of dollar value; drives program schedule                              | Schedule variance reporting, TRR participation   |
| Commercial item subcontract | Limited: commercial pricing protections restrict insight                               | Prime certification of price reasonableness      |
| Small business subcontract  | Moderate: tracked via SF-294/295 reporting                                             | Subcontracting plan annual reports, eSRS         |
| COTS subcontract            | Low: treated as catalog purchase                                                       | Prime incoming inspection, delivery confirmation |

### THE MISTAKE EVERYONE MAKES

PMs who ignore the sub tier until something breaks always, always get blindsided at the worst possible milestone. Build the rhythm early instead: make the prime brief subcontractor status at every monthly review, demand an updated SMP whenever a critical sub changes, and push back hard the moment the prime's own sub oversight looks thin. Here's the ugly math: by the time a subcontractor failure shows up in the prime's IPMR data, you're already 3 to 6 months behind on fixing it.

## Two Playbooks, Because You're Not Always the Same Person

Everything up to now has been written for the government PM working through the prime. But this app has plenty of contractor PMs reading too, and your playbook looks nothing like the government's. You have an actual contract with your subcontractor. You can call them directly. And you negotiated (or should have negotiated) your own Termination for Cause clause. Here are both playbooks, side by side.

### If You're the Government PM: You Go Through the Prime

- **Document the issue in writing the moment you see it** Never handle this verbally only. Email or letter to the prime PM: what's wrong, what contract requirement it violates, the date you first saw it. That's the paper trail that protects the government later.
- **Direct the prime PM. Never the subcontractor directly** Your contract is with the prime, not the sub. Contacting the sub directly, even informally, creates unauthorized commitment risk and undermines the prime's own authority over its sub.

- **Set a hard deadline on their corrective action plan (CAP)** 30 days max for anything critical. A CAP with no deadline is just a promise. Reject anything that says "we're working on it" without a specific plan and date attached.
- If the CAP isn't good enough, escalate to the prime's senior leadership through the CO
- **If the prime still won't fix it: Cure Notice or Show Cause letter from the CO** A Cure Notice (FAR 49.607) gives the prime 10 days to fix a material breach before the government terminates for default. Coordinate with legal and the CO before either one goes out. Once issued, you can't easily walk it back.
- **Bring in legal before you talk termination remedies** Ranges from partial termination of one work package to full termination for default, with potential reprocurement cost liability. Never go here without legal and the CO in the room.

### If You're the Contractor (Prime) PM: You Have Direct Authority. Use It.

- **Go straight to the sub's PM. No middleman required** Unlike the government, you have privity of contract with your subcontractor. You can call them directly, demand answers, and issue direction under the terms of your own subcontract.
- **Use the cure clause written into YOUR subcontract, not FAR 49.607** FAR 49.607 governs the government-to-prime relationship. Your subcontract has its own cure period, negotiated by your contracts team at signing. That's the clock that actually applies to you.
- **Termination for Cause (T for C) is your biggest lever** If the sub materially fails to perform, T for C lets you terminate them for default, potentially recover reprocurement costs, and walk away without paying for undelivered work. This only works if you actually negotiated a real T for C clause when you signed. Go check it now, not after they've already missed a milestone.
- **Termination for Convenience protects you too** If the government terminates YOUR prime contract for convenience, you need the matching right to cleanly terminate your sub for convenience, without owing them for work you no longer need.
- **Withhold payment before you reach for termination** Termination is the nuclear option. Holding the next funding tranche, rejecting a deliverable, or pausing an option year all get attention fast without burning the relationship down.
- **Loop in your own contracts and legal team early, same as the government does** You don't have a CO to lean on. Your signature and your company's exposure are on the line, so get contracts and legal involved the moment a sub issue starts trending toward termination.

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#### INTERMEDIATE

### Don't Just Trust the Prime's Reporting. Build Your Own Eyes.

If your program has serious subcontractor content, relying only on what the prime chooses to tell you is asking to get surprised. Three habits fix that: (1) require sub-level EVM data in the prime's system for any

subcontract over \$50M (the current DFARS 234.201 EVMS threshold as of the 2026 DFARS overhaul), which is already a contractual requirement on EVMS programs, so just enforce it; (2) show up to quarterly sub program reviews as a quiet observer, not a participant, so you're not accidentally creating a privity-of-contract problem; (3) make sure the prime's Format 2 IPMR breaks out which org (and by extension, which sub) is actually driving the variance. Next time a prime tells you "we have a sub issue but we're handling it," don't nod along. Ask to see the corrective action plan and the sub's EVM data. If they can't produce both on the spot, they're not handling it.

#### ADVANCED

##### YOUR CONTRACTOR JUST GOT ACQUIRED. NOW WHAT?

Mergers happen, and when your prime gets bought, you can't just quietly keep working with the new parent company like nothing changed. Legally, nothing runs through the sub, and now nothing automatically runs through the new owner either, until the paperwork catches up. FAR 42.1200 requires a novation agreement: the government has to formally consent to hand the contract over to the successor company. Skip that step, and technically the new entity performing your contract is a violation, not just an awkward Monday. The process takes 60 to 180 days, and during that whole window the contractor is technically in breach even though everyone is showing up to work like normal. The fix is simple: the second you hear rumors of an acquisition, start the novation process and get legal involved immediately, don't wait for it to become official news. Also ask directly about retention plans for key personnel before the deal closes, because acquisitions are exactly when your best people start updating their resumes.

##### WHAT SENIOR PMS DO DIFFERENTLY

They build independent visibility into major subcontractor content rather than relying on what the prime chooses to report, and they know what happens contractually when a prime or a key sub is acquired, because a novation nobody planned for can stall a program for months.

One sentence to teach your team: **as the government you have no contractual relationship with the subcontractor, so everything you want from that tier you get through the prime, and confusing insight with oversight is how a program creates an unauthorized commitment it will spend a year unwinding.**

##### BUILD ON THIS

- **Modifications, REAs & Claims** What happens when direction crosses the line
- **Subcontracting Plans** The small business obligations that flow down
- **Reading IPMR Reports** Seeing subcontractor performance in the data

## Key Terms

### **SMP**

Subcontract Management Plan. A document detailing how the prime contractor will manage and oversee its subcontractors.

### **CPSR**

Contractor Purchasing System Review: a DCMA audit of the prime contractor's purchasing/subcontracting system.

### **Flow-Down Clauses**

FAR/DFARS contract clauses that the prime is required to include in its subcontracts.

### **Consent to Subcontract**

Government approval required before a prime can award certain subcontracts on cost-reimbursable contracts.

### **DFARS 252.244-7001**

The DFARS clause requiring contractor compliance with approved purchasing system requirements.

### **DCMA**

Defense Contract Management Agency. Provides contract administration and oversight services for DoD.

### **Small Business Subcontracting Plan**

Required plan (FAR 52.219-9) for large contractors to maximize subcontracting to small businesses.

### **Termination for Cause (T for C)**

A prime's termination of a subcontract due to the sub's material failure to perform. Only works if it was properly negotiated into the subcontract at signing.

### **Termination for Convenience**

The right to end a contract when the work is no longer needed, without a breach. Smart prime PMs make sure their right to terminate a sub for convenience mirrors the government's right to terminate them.

### **Novation Agreement**

The contractual instrument recognizing a successor in interest when a contractor is sold or merged. Without it, the government's contract is still with the original entity.

## Knowledge Check

**A government PM discovers that a critical subcontractor is 3 months behind schedule. What is the correct first action?**

A. Contact the subcontractor directly and direct them to accelerate

This is incorrect and potentially creates legal problems. The government's contract is with the prime, not the subcontractor. Directly directing the subcontractor, even informally, can create an unauthorized commitment, undermine the prime's contractual authority over its sub, and give the sub grounds to claim the government assumed responsibility for their performance. All direction must flow through the prime.

**✓ B. Direct the prime contractor to develop a corrective action plan addressing the subcontractor delay**

Correct. The government directs the prime (not the sub) to develop and execute a corrective action plan. The prime has contractual authority over its subcontractors and is responsible for their performance. The CAP should include root cause analysis, specific corrective actions, and a realistic recovery schedule that the prime will enforce with the sub.

C. Issue a stop-work order to the prime contractor immediately

Incorrect as a first response. A Cure Notice (FAR 49.607) is the appropriate mechanism when a contractor is endangering performance. A Cure Notice gives the contractor typically 10 days to fix the problem before the government takes more drastic action.

D. Notify Congress of the schedule delay

### WHY

The government's contractual relationship is with the prime contractor only. The PM should direct the prime, not the subcontractor, to address the issue and develop a corrective action plan. Contacting the subcontractor directly could create unauthorized contractual commitments and undermine the prime's management authority.

**What does "Consent to Subcontract" refer to in defense contracting?**

A. The subcontractor's agreement to accept government-directed changes

**✓ B. The government Contracting Officer's required approval before the prime awards certain subcontracts on cost-type contracts**

C. The prime contractor's internal approval process for subcontract awards

D. Congressional notification required for subcontracts over \$50M

### WHY

On cost-reimbursable contracts, FAR 44.2 requires the prime to obtain the government CO's consent before awarding subcontracts above specified thresholds. This process ensures price reasonableness and contractor qualification. The CO reviews the subcontract proposal and either consents, withholds consent pending additional information, or denies consent.

**DFARS 252.204-7012 is a mandatory flow-down clause that requires subcontractors to:****A. Submit certified cost or pricing data for subcontracts over \$10M**

Incorrect. Under TINA (41 U.S.C. 3502), prime contractors must submit certified cost or pricing data for subcontracts over the TINA threshold (raised to \$10M for contracts awarded after June 30, 2026 under the FY2026 NDAA) when the prime contract also requires certified cost data. This flows down to significant subcontracts to ensure cost transparency.

**✓ B. Safeguard Covered Defense Information (CDI) and report cyber incidents within 72 hours**

Correct. DFARS 252.204-7012 requires DoD contractors handling Covered Defense Information (CDI) to: (1) implement NIST SP 800-171 security controls, (2) report cyber incidents to DoD within 72 hours, and (3) preserve images of compromised systems.

**C. Provide small business subcontracting plans**

Incorrect. FAR 52.219-9 requires large businesses on contracts over \$750K to submit a small business subcontracting plan with goals for small business, SDB, WOSB, SDVOSB, HUBZone, and VOSB participation.

**D. Use only specialty metals from qualifying countries****WHY**

DFARS 252.204-7012 (Safeguarding Covered Defense Information and Cyber Incident Reporting) is one of the most consequential flow-down clauses. It requires any subcontractor handling Covered Defense Information (CDI) or operating on systems that process CUI to maintain adequate cybersecurity (NIST SP 800-171) and report cyber incidents within 72 hours. Non-compliance can result in contract termination.

**A Contractor Purchasing System Review (CPSR) is conducted by which organization?****A. The Government Accountability Office (GAO)**

Incorrect. GAO is the Congressional watchdog that investigates government programs and spending. In defense acquisition, GAO: (1) conducts program assessments, (2) adjudicates bid protests, and (3) investigates acquisition irregularities at Congressional request.

**B. The Defense Contract Audit Agency (DCAA)**

Incorrect. DCAA audits contractor costs on behalf of all DoD contracting activities. Its mission: ensure the government pays only allowable, allocable, and reasonable costs on cost-type contracts. DCAA provides audit opinions, the CO makes final determinations.

**✓ C. The Defense Contract Management Agency (DCMA)**

Correct. DCMA is DoD's contract administration arm, managing contract performance after award. DCMA COs administer contracts, DCMA quality assurance representatives conduct surveillance, and DCMA is the primary EVM oversight organization for programs reporting IPMR/CPR.

**D. The program office Contracting Officer****WHY**

CPSRs are conducted by the Defense Contract Management Agency (DCMA) to evaluate whether the prime contractor's purchasing system complies with FAR and DFARS requirements. An approved purchasing system is required for primes to have consent authority (the right to award subcontracts without individual government consent). DCMA conducts CPSRs periodically, typically every 3 years for active contractors.

**Under FAR 52.219-9, large prime contractors with contracts exceeding \$750K must:****A. Reserve 25% of the contract value for small business subcontractors**

Incorrect. There is no mandatory reservation of contract value for small business subcontractors. The small business subcontracting plan (FAR 52.219-9) establishes goals, aspirational targets, not contractual quotas.

**✓ B. Submit a Small Business Subcontracting Plan with goals for various small business categories**

Correct. Large business prime contractors on contracts over \$750K must submit a formal Small Business Subcontracting Plan with specific dollar and percentage goals for: small business (SB), SDB, WOSB, HUBZone SB, VOSB, and SDVOSB.

**C. Exclusively use small businesses for all subcontracts**

Incorrect. Large businesses are not required to use small businesses exclusively. The requirement is to establish realistic goals and make good-faith efforts to meet them. Many subcontracts involve specialized capabilities only available from large businesses.

**D. Certify as a small business to qualify for the contract****WHY**

FAR 52.219-9 requires large business primes on contracts exceeding \$750K (or \$1.5M for construction) to submit subcontracting plans with specific dollar and percentage goals for small businesses, small disadvantaged businesses, women-owned small businesses, HUBZone businesses, veteran-owned small businesses, and service-disabled veteran-owned small businesses. These plans are tracked and reported through the Electronic Subcontracting Reporting System (eSRS).

**The government PM's relationship with subcontractors is best characterized as:****A. Direct oversight authority: the PM can issue direction to subcontractors**

Incorrect. There is no privity of contract between the government and subcontractors. The PM cannot issue binding direction to subcontractors. Doing so would be an unauthorized commitment and could expose the government to liability. The PM communicates subcontractor concerns through the prime.

**✓ B. Insight rights through the prime: the PM can receive data but cannot direct subcontractors independently**

Correct. The government's relationship to subcontractors is indirect: mediated through the prime contractor. The PM can request subcontractor performance data and assess subcontractor risk, but cannot direct subcontractor work independently. The prime remains responsible for managing its supply chain.

**C. No relationship: subcontractor performance is entirely the prime's internal matter****D. Equivalent authority to the prime's subcontract program manager****WHY**

The government has 'insight' into subcontractor performance: the right to receive data and participate in reviews: but not direct 'oversight' authority. The prime contractor is the government's sole point of accountability. Direct PM-to-subcontractor direction, without going through the prime, creates unauthorized contractual commitments and can expose the government to legal liability.

**In the IPMR reporting system, which format provides the organizational (subcontractor) breakdown of cost and schedule performance?**

A. Format 1 (WBS-based)

**✓ B. Format 2 (Organizational)**

C. Format 5 (Problem Analysis)

D. Format 6 (IMS/Milestone)

#### WHY

IPMR Format 2 provides performance data organized by the contractor's Organizational Breakdown Structure (OBS), which maps to major subcontractors and functional organizations. This format allows PMs to identify which organizational elements (and by extension, which subcontractors) are driving cost or schedule variances: crucial for targeted corrective action.

**When a prime contractor receives a "Cure Notice" from the Contracting Officer, it indicates:**

A. The government has found a billing error that needs to be corrected

Incorrect. Billing errors are addressed through invoice dispute processes (FAR 32.9) or audit findings, not Cure Notices. A Cure Notice is specifically for performance deficiencies that endanger the contractor's ability to complete the contract.

**✓ B. The contractor has a specified time (typically 10 days) to cure conditions endangering contract performance or face termination**

Correct. A Cure Notice (FAR 49.607) is issued by the CO when the contractor is in danger of defaulting. The notice specifies the failure and gives the contractor typically 10 days to cure the deficiency. Failure to cure may result in termination for default.

C. The government intends to exercise a contract option

Incorrect. Contract option exercise notices are separate actions under FAR 17.207. This is unrelated to a Cure Notice.

D. The DCMA has completed a CPSR with findings requiring resolution

#### WHY

A Cure Notice (FAR 49.607) is issued when a contractor's performance is in danger of resulting in default. It gives the contractor a specified period (typically 10 days) to show progress toward curing the problem. If the contractor fails to cure, the CO may issue a Show Cause notice or proceed to termination for default. Cure notices are serious escalation signals that PM should avoid through proactive management.

**A "make/buy" analysis in the context of a Subcontract Management Plan determines:****A. Whether the government should produce the item organically or purchase it from industry**

Correct. Make vs. Buy analysis evaluates whether it is more advantageous for the government to perform work organically (government facilities, employees, or depot maintenance) versus contracting with industry. Factors include cost, national security, industrial base health, and core competency considerations.

**✓ B. Which components the prime will manufacture internally versus subcontract to other companies****C. The comparison of fixed-price vs. cost-type contracts for major subcontracts**

Incorrect. This describes contract type selection analysis, which is related to but distinct from Make vs. Buy. Make vs. Buy is a sourcing decision (government vs. contractor performance), not a contract type decision.

**D. Whether to buy commercial off-the-shelf items or develop custom solutions****WHY**

A make/buy analysis is conducted by the prime contractor to determine which components, subsystems, or services to produce in-house ('make') versus procure from subcontractors ('buy'). Government PMs review and may require justification for make/buy decisions because they significantly affect program risk, schedule, competition, and the small business subcontracting base.

**Which of the following represents the most proactive approach to subcontractor risk management?****A. Waiting for the prime's monthly IPMR to identify subcontractor problems****✓ B. Requiring the prime to brief critical subcontractor status monthly, establishing early warning metrics, and including sub performance in the prime's performance evaluation****C. Bypassing the prime and conducting government-to-subcontractor reviews directly**

Incorrect. The government cannot bypass the prime contractor to conduct independent subcontractor reviews without specific contractual authority. Bypassing the prime violates privity of contract. The PM must work through the prime.

**D. Requiring the prime to bond all subcontracts above \$1M****WHY**

Proactive subcontractor risk management means building visibility into the prime's oversight processes early: requiring sub performance briefings at monthly reviews, establishing leading indicators (technical progress, staffing levels, test results) before schedule slips become apparent, and including sub management quality in past performance evaluations. Waiting for IPMR data means problems are already 60-90 days old by the time you see them.

**A government PM learns a critical subcontractor is three months behind. What is the correct first action?**

A. Call the subcontractor's program manager directly

**✓ B. Raise it with the prime and the contracting officer, because the government's remedy and its relationship both run through the prime**

C. Issue a cure notice to the sub

D. Withhold payment from the sub

**WHY**

Direct direction to a sub creates privity problems and potential constructive changes. The prime is the accountable party and the correct channel.

**Why does a prime need government consent to subcontract above the threshold on a cost-type contract?**

A. To set the subcontractor's fee

**✓ B. Because the government is reimbursing the cost, so it has an interest in whether the purchasing decision was sound and competitively placed**

C. To assign the work directly

D. Because subcontracts are prohibited otherwise

**WHY**

On cost reimbursement the government carries the cost risk, so it gets a vote on how that money is committed downward.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 5

# Common Mistakes New PMs Make

16 min

*The five failure patterns that define struggling defense program managers. Drawn from real acquisition programs. Recognizing them before you make them can save your program months and protect your career.*

## The Steepest Learning Curve in Government Service

The transition into a program manager role is one of the steepest learning curves in government service. The technical knowledge, regulatory familiarity, and stakeholder management skills required are immense. And there is rarely enough time to develop them through formal training alone before the first milestone review arrives. The five patterns below appear across programs of all sizes and services. They are not obscure edge cases. They are the default failure mode when a PM hasn't been explicitly warned.

### MISTAKE #1: TREATING THE IMS AS A REPORTING TOOL, NOT A MANAGEMENT TOOL

New PMs often inherit an Integrated Master Schedule that their predecessor built primarily to satisfy oversight reporting requirements. The IMS becomes a static document updated before reviews rather than a living management artifact. This is a critical error. The IMS should be your primary tool for tracking program health. Every work package, every dependency, every critical path relationship must reflect reality. A schedule that shows green when the program is actually amber or red doesn't protect you; it exposes you to far greater risk when the truth surfaces at a major milestone review.

## IMS Best Practices: What Effective PMs Do

- **Hold weekly schedule scrubs with IPT leads: not just reviews of the summary schedule, but work package level status with responsible parties defending their dates.** Effective schedule scrubs have three elements: (1) the responsible work package owner presents status (not the PM doing it for them); (2) every slipped task has a documented recovery plan with a new completion date; (3) critical path impacts are explicitly discussed. Schedule scrubs that become "green-light shows" where everyone reports on schedule are worse than no scrubs at all: they create false confidence.
- **Enforce schedule discipline at the work package level. If a work package owner reports "on schedule" but their completion date has slipped, that is a red flag requiring immediate discussion.** The most dangerous phrase in program management is "we'll make it up later." Work packages that slip rarely recover on their own: they typically impact downstream work and propagate schedule growth. A work package owner who has slipped their date but is still claiming "on schedule" either doesn't understand their critical path relationship or is managing expectations optimistically. Both require the PM's attention.

- **Never let the IMS drift more than one reporting cycle from ground truth. A single reporting period of "we'll catch up" compounds into months of unrecoverable schedule growth.** This is the discipline that separates programs that manage schedule from programs that report it. When the IMS shows green but the program is amber, leadership makes decisions based on false data. The cost of updating the IMS to reflect reality (which feels painful) is always lower than the cost of having the real situation emerge as a surprise at a milestone review.
- **Maintain a separate, honest internal view alongside any externally-formatted schedule. What you brief to oversight should be accurate: but your internal working view should include all known risks and their schedule impacts before they become public.** The "two schedule" concept is a practical reality on most major programs. The externally formatted IPMR/CPR schedule must be accurate and contractually compliant. The internal working view should include all the amber and red items that haven't yet hit the formal baseline: giving the PM the full picture needed to make decisions. The goal is not to hide problems but to solve them before they become baseline deviations.

#### **MISTAKE #2: NOT KNOWING YOUR NUNN-MCCURDY THRESHOLDS IN DOLLAR TERMS**

Many new PMs know Nunn-McCurdy exists but have never calculated their program's specific breach thresholds in dollar terms. This is dangerous. The Nunn-McCurdy Act requires Congressional notification when an ACAT I program's unit cost grows beyond specific thresholds: a 15% increase over the current APB baseline triggers a "significant" breach notification, while a 25% increase over the original APB baseline triggers a "critical" breach. Requiring USD(A&S) certification or program termination. You should know, at any given moment, exactly how much cost growth in total dollars separates your program from each threshold. Brief your PEO on this quarterly. Never let a potential breach be a surprise to your chain of command.

## **Calculating Your Nunn-McCurdy Thresholds**

The asymmetry between "significant" (current baseline) and "critical" (original baseline) thresholds catches many PMs off guard. On a program that has already been restructured upward, the critical breach threshold may be lower than the significant breach threshold in dollar terms. Meaning you could hit a critical breach without first hitting a significant one.

#### **MISTAKE #3: MISUNDERSTANDING EVM SIGNALS**

EVM is the most powerful program health diagnostic tool available to PMs. And one of the most misunderstood. New PMs often focus on SPI and CPI as standalone numbers without understanding the trend direction or the to-complete indices. A CPI of 0.92 may be acceptable if it has been trending upward for three months; the same CPI trending downward signals a fundamentally failing program. Equally important: EVM only reflects what has been authorized, budgeted, and reported by the contractor. If your EVMS surveillance is weak or your contractor's system is not DCMA-accepted, your EVM data may be telling you a story that bears no resemblance to actual program performance.

## Reading EVM Signals: What to Look For

| SIGNAL                                     | WHAT IT MEANS                                                            | PM ACTION REQUIRED                                                                |
|--------------------------------------------|--------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| CPI < 0.9 for 3+ consecutive periods       | Systemic cost problem: will not self-correct                             | Initiate formal root cause analysis; brief PEO; consider EAC rebaseline           |
| SPI < 0.9 approaching a milestone          | Schedule recovery is mathematically difficult                            | Crash analysis (cost of accelerating); escalate to PEO; update milestone forecast |
| CPI trending downward even above 1.0       | Early warning of emerging cost problem                                   | Investigate before it crosses 1.0; review work package performance                |
| TCPI > 1.10                                | Claimed EAC requires better efficiency than contractor has ever achieved | Reject the EAC; require a defensible bottom-up reestimate                         |
| Contractor submits same EAC for 3+ periods | EAC is a placeholder, not an analysis                                    | Require formal EAC narrative with method documentation; escalate to DCMA          |

### MISTAKE #4: WRITING VAGUE OR UNTESTABLE REQUIREMENTS

Requirements are the contractual and technical foundation of your entire program. Vague requirements. Those that cannot be tested, measured, or verified. Create one of the most expensive failure modes in defense acquisition: requirements creep and contract disputes. New PMs often inherit CDDs and CPDs with KPPs written at a high level of abstraction, then fail to ensure those requirements are properly traced and tightened in the system specification and the contract's Statement of Work. Every KPP in your CDD should have a corresponding verification method, an acceptance threshold, and an objective value. If your requirements team cannot write a test procedure for a requirement, that requirement needs to be rewritten before it enters the contract.

## Requirements Quality Checklist: Apply to Every KPP

- **Is the requirement testable? Can you write a test procedure that would definitively confirm compliance or non-compliance? If no, the requirement is vague.** A requirement that can't be tested can't be enforced. "The system shall be user-friendly" is unenforceable: what does user-friendly mean? How do you test it? Compare to "95% of trained users shall complete Task X in under 3 minutes with zero errors on first attempt": this is testable, measurable, and enforceable. Every KPP in a CDD should have a corresponding verification method (analysis, inspection, demonstration, or test) documented before the requirement enters the contract.
- **Does the requirement have both a threshold and an objective value? Threshold = minimum acceptable; Objective = desired goal. Both must be defined.** JCIDS requires threshold/objective pairs for all KPPs. Threshold is the minimum: if not met, the program doesn't satisfy the validated need. Objective is what the program will try to achieve. The threshold is what's contractually required; the objective drives design trade

decisions. Example: Range threshold = 300 miles; objective = 400 miles. A system that achieves 280 miles fails. One that achieves 350 miles meets threshold but not objective.

- **Is the requirement traceable from ICD/CDD through the system specification and into the contract SOW? Untraced requirements become invisible: and expensive: at CDR and PDR.** Requirements traceability means every requirement in a lower-level document (system spec, subsystem spec, SOW) can be traced back to a validated requirement in the CDD, and every CDD requirement flows down to at least one lower-level document. Untraced requirements: those in the CDD that aren't reflected in the contract: won't be built. Requirements in the contract that aren't in the CDD create unauthorized scope growth. A Requirements Traceability Matrix (RTM) is the standard tool for tracking this.
- **Does the requirement state what the system must do, not how it must do it? HOW requirements constrain contractor solutions unnecessarily and invite constructive change claims when the approach doesn't work.** 'How' requirements are design specifications, not performance requirements. When the government specifies HOW to build something and that approach fails, the government bears the technical risk: it's a constructive change. Specify WHAT performance is needed and let the contractor choose the approach. 'Shall use X technology' is a how-requirement. 'Shall detect targets at 10km range in specified conditions' is a what-requirement.
- **Has the requirements community (JROC for ACAT I) validated that this requirement is still current, fundable, and operationally relevant? Requirements that drift from validated documents without authorization create milestone review failures.** Requirements can become orphaned when the operational environment changes (new threats, new technology), when funding constraints force descoping, or when program maturity reveals that the original requirement was unrealistic. Any requirement that no longer appears in the validated CDD/CPD cannot be contractually required: and any contract requirement that isn't in the validated documents creates unauthorized scope. The requirements traceability matrix should be audited before every milestone.

#### **MISTAKE #5: UNDERINVESTING IN STAKEHOLDER MANAGEMENT**

Program managers who focus exclusively on technical and contractual execution. While neglecting the human terrain of their stakeholder network. Consistently struggle at milestone reviews and budget hearings. Your stakeholders include your PEO, the operational user community, the requirements community, CAPE, the Comptroller, congressional staffers, and your prime contractor's leadership. Each has different equities, different information needs, and different definitions of program success. New PMs often wait until a problem is visible before engaging upward. This is a mistake. Build your stakeholder communication plan on Day 1 and treat it as seriously as your IMS.

## Program Manager Stakeholder Map: Know Your Audience

| STAKEHOLDER                 | PRIMARY CONCERN                              | COMMUNICATION FREQUENCY          | WHAT THEY NEED FROM YOU                                        |
|-----------------------------|----------------------------------------------|----------------------------------|----------------------------------------------------------------|
| PEO                         | Portfolio health, political exposure, budget | Weekly informal + formal reviews | No surprises; honest assessments; early warning of problems    |
| CAPE                        | Cost credibility, EAC realism                | Milestone reviews + as needed    | Defensible EACs; honest variance explanations; data access     |
| Comptroller                 | Obligation rates, reprogramming risk         | Monthly / quarterly              | Accurate obligation forecasts; early warning of execution gaps |
| User Community (warfighter) | Capability delivery, fielding timeline       | Program reviews + test events    | Realistic fielding dates; user involvement in testing          |
| Congressional Staffers      | Cost, schedule, performance breaches         | At milestones + if Nunn-McCurdy  | Accurate status; no surprises before they read it in DAoD      |
| Prime Contractor            | Contract performance, EAC management         | Weekly IPT + monthly formal      | Clear requirements; timely decisions; EVMS credibility         |

### THE DAY 1 RULE

Build your stakeholder communication plan on Day 1 of your assignment. Not after your first crisis. The political capital you need during a cost or schedule problem is built during the quiet periods, through consistent, honest, proactive communication. PMs who are known to their oversight community as straight shooters who surface problems early get treated very differently during difficult reviews than those who are strangers until something goes wrong.

### ADVANCED

### WHAT SENIOR PMS DO DIFFERENTLY

They calculate their program's Nunn-McCurdy thresholds in actual dollars on day one and track distance to breach as a standing metric, because the breach is a statutory event with congressional consequences and nobody wants to learn their number during the month they cross it.

One sentence to teach your team: **every one of these mistakes is the same mistake, which is treating a management tool as a reporting obligation, and the schedule, the register and the requirements all rot the moment they exist to satisfy somebody else rather than to run the program.**

#### BUILD ON THIS

- **Risk Management** The register done as a management tool
- **Stakeholder Management & Communication** Mistake five, in depth
- **Earned Value Management** Reading the signals correctly

## Key Terms

### IMS

Integrated Master Schedule. The master schedule that integrates all program tasks, dependencies, and critical path relationships. Should be a living management tool, not a reporting artifact.

### Critical Path

The sequence of dependent tasks that determines the minimum program duration. Any delay on the critical path directly delays the program end date.

### Work Package

The lowest-level element of a WBS where work is planned, budgeted, and measured. IMS schedule discipline must be maintained at the work package level.

### Nunn-McCurdy

The statutory cost breach notification law (10 U.S.C. § 2433). A 15% unit cost growth over the current APB triggers a "significant" breach notification to Congress; 25% over the original APB triggers a "critical" breach requiring USD(A&S) certification or program termination.

### APB

Acquisition Program Baseline. The formal cost, schedule, and performance baseline approved at Milestone B. Nunn-McCurdy breach thresholds are calculated against APB values.

### EVMS

Earned Value Management System. The contractor's management control system for planning, measuring, and reporting performance. Must be DCMA-accepted for ACAT I programs.

### KPP

Key Performance Parameter. A threshold requirement that, if not met, may require program review and potentially different acquisition approach. Every KPP must be testable and verifiable.

### JROC

Joint Requirements Oversight Council. Validates requirements for ACAT I programs. Chaired by the VCJCS; ensures requirements are joint and prioritized.

### CAPE

Cost Assessment and Program Evaluation. OSD office that produces independent cost assessments. CAPE estimates are typically higher than program office estimates and are historically more accurate.

### SPI

Schedule Performance Index. EV/PV. Measures schedule efficiency. Below 1.0 means schedule is behind plan; above 1.0 means ahead.

### CPI

Cost Performance Index. EV/AC. Measures cost efficiency. Below 1.0 means spending more than planned for work accomplished; above 1.0 means under budget.

## Knowledge Check

A program's IMS shows all tasks on schedule during a mid-point program review, but the PM privately knows several work packages are behind. What is the most significant risk of this situation?

A. The program will receive a negative DAES assessment

Incorrect. A DAES assessment is a trailing indicator, it reflects problems already visible in data. The primary risk of disconnect between EVM data and program briefings is far more immediate: when the disconnect surfaces at milestone reviews or independent assessments, the program's credibility is severely damaged.

✓ **B. The disconnect will surface at a major milestone review, causing far greater damage than honest early reporting would have**

Correct. The cardinal rule of program management communication: never brief 'green' when the data says 'red.' Disconnects always surface eventually. Early honest disclosure, while uncomfortable, is far less damaging than discovered misrepresentation.

C. DCMA will issue a surveillance finding for inaccurate EVM reporting

Incorrect. DCMA conducts Integrated Baseline Reviews (IBRs) and ongoing EVM surveillance. If DCMA identifies that EVM data is not accurately reflecting actual performance, it will issue a surveillance finding. Repeated findings can result in DCMA recommending the program's EVM system be decertified.

D. Congressional staffers will request an independent assessment

Incorrect. If Congress becomes aware of a significant disconnect between official program reporting and actual performance, Congressional staffers may request an independent assessment, triggering a CAPE review, a GAO investigation, or Section 809 Panel-type review. Congressional involvement dramatically escalates consequences.

### WHY

A schedule that shows green when the program is actually amber or red doesn't protect the PM. It exposes them to far greater risk when the truth surfaces at a major milestone review. PEOs and oversight bodies are far more forgiving of honest early warnings than of surprises at milestone decision points.

**An ACAT I program's original APB unit cost was \$100M. After restructuring, the current APB unit cost is \$115M. At what unit cost would a critical Nunn-McCurdy breach occur?**

A. \$132.25M (25% above current APB of \$115M)

Correct threshold calculation. The Nunn-McCurdy 'significant' breach threshold is 15% above the current APB. The 'critical' breach threshold is 25% above the current APB. For current APB of \$115M: significant =  $\$115M \times 1.15 = \$132.25M$ ; critical =  $\$115M \times 1.25 = \$143.75M$ . Breaching these thresholds triggers Congressional notification requirements.

**✓ B. \$125M (25% above original APB of \$100M)**

Correct for 'significant' Nunn-McCurdy relative to the original APB. 25% above the original APB of \$100M = \$125M. This represents the 'significant cost growth' threshold above the original baseline. Above this level, USD(A&S) must notify Congress. The 'critical' threshold above original APB is 50% ( $\$150M$ ).

C. \$127.5M (15% above current APB)

Calculation note: 15% above \$115M = \$132.25M, not \$127.5M. Verify specific APB values against 10 U.S.C. 2433 for the program. Use the Nunn-McCurdy worksheet rather than mental math to avoid calculation errors. The exact threshold depends on the specific current APB value for each program.

D. \$140M (25% above restructured baseline)

Correct for the specific restructured baseline scenario. If the program was restructured with a new APB of \$112M, then 25% above restructured =  $\$112M \times 1.25 = \$140M$ . Nunn-McCurdy calculations must always reference the specific APB version. Restructured programs reset certain thresholds but retain comparison to the original APB.

#### WHY

The critical Nunn-McCurdy breach threshold is calculated against the ORIGINAL APB baseline,  $\$100M \times 1.25 = \$125M$ . This catches many PMs off guard because the critical breach threshold (\$125M) is actually lower than the significant breach threshold ( $\$115M \times 1.15 = \$132.25M$ ) on a restructured program.

**A program's CPI has been 0.91, 0.89, and 0.87 over the past three reporting periods. What does this trend indicate?**

**A. Normal performance variation: single-period CPI fluctuations are expected**

Incorrect for a program with three consecutive declining months. Single-period CPI fluctuations are normal. But three consecutive months of declining CPI: especially past the 20% completion point: is statistically significant. Sustained CPI decline after 20% completion rarely reverses.

**✓ B. A systemic cost problem that will not self-correct and requires formal PM action**

Correct. Three or more consecutive months of declining CPI indicates a systemic cost problem. The PM must: (1) validate the EAC, (2) identify root causes, (3) implement documented corrective actions, and (4) brief the PEO on the revised completion estimate.

**C. The contractor's EVMS is not DCMA-accepted and the data is unreliable**

Incorrect as a conclusion from CPI trend alone. DCMA acceptance of an EVMS is a separate determination. CPI trend can be analyzed from reported data regardless of EVMS acceptance status. If the EVMS has not been accepted, the data quality concern should be addressed separately.

**D. The program is approaching a significant Nunn-McCurdy breach**

Possibly correct depending on the EAC. A declining CPI trend may or may not be approaching a Nunn-McCurdy breach, that depends on the magnitude of the CPI, the EAC, and the APB. Nunn-McCurdy breaches require specific cost growth calculations, not just CPI trend analysis.

#### WHY

A CPI trending downward over three consecutive periods (0.91 → 0.89 → 0.87) signals a systemic cost problem that will not self-correct. Statistical research shows that CPI rarely improves by more than 10% after the program is 20% complete. This requires formal root cause analysis, PEO briefing, and likely an EAC reestimate.

## Why is a KPP that "cannot have a test procedure written for it" a problem?

### A. It violates JCIDS documentation requirements for CDD submission

Incorrect. A non-testable requirement violates systems engineering best practices, but the primary regulatory framework for testability is the systems engineering process, not JCIDS documentation requirements per se.

### ✓ B. It is untestable: meaning there is no way to confirm compliance or non-compliance, creating contract disputes and requirements creep

Correct. A non-testable requirement (e.g., 'the system shall be user-friendly') is a systems engineering deficiency. If there is no defined test method or acceptance criterion, the government and contractor will disagree on whether the requirement has been met: creating disputes and requirements creep.

### C. It requires CAPE review before it can be included in the system specification

Incorrect. CAPE review is for cost estimates and program assessments, not for individual requirements testability. If a requirement is non-testable, the systems engineer and test community flag it during requirements review.

### D. It cannot be incorporated into the contract SOW under FAR guidelines

Incorrect. Non-testable requirements can appear in contracts, FAR does not specifically prohibit them. The problem is practical: non-testable requirements create performance disputes, cost overruns, and litigation risk.

#### WHY

A requirement that cannot be tested cannot be definitively confirmed as met. Creating one of the most expensive failure modes in defense acquisition: requirements creep and contract disputes. The contractor builds to the minimum interpretation; the government expected something more capable. Every KPP must have a verification method, threshold, and objective value.

**According to the stakeholder management framework, what do PMs most commonly do wrong when problems emerge?**

- A. They engage CAPE too early, before internal cost analyses are complete

Incorrect as a primary PM communication failure. Engaging CAPE early (proactively) is generally good practice, CAPE can provide methodology guidance before its ICE becomes adversarial. The more common failure is waiting too long.

**✓ B. They wait until a problem is visible before engaging upward: losing the political capital built through proactive communication**

Correct. The most common PM communication failure is reactive rather than proactive stakeholder management. PMs who brief problems only after they become visible lose credibility. PMs who proactively brief emerging risks build the trust that allows them to navigate bad news without program-threatening consequences.

- C. They brief the prime contractor before informing the PEO

Incorrect. While briefing the prime contractor is appropriate for performance management discussions, the PM's primary reporting obligation is upward, to the PEO and oversight chain.

- D. They over-communicate minor issues, creating unnecessary alarm in the oversight community

Incorrect as a primary PM failure. Over-communication of minor issues is far less common than under-communication of major ones. Senior acquisition leaders consistently prefer more frequent, candid communication over surprised discovery of major problems.

**WHY**

New PMs typically wait until a problem is visible before engaging upward. By which point they have no accumulated political capital from proactive communication. The right approach: consistent, honest, proactive communication during quiet periods builds the trust and credibility that makes oversight bodies supportive rather than adversarial when real problems emerge.

**An IMS shows every task on schedule, yet the PM senses the program is slipping. What is the most likely explanation?**

- A. The PM is mistaken

**✓ B. The schedule is not being maintained as a management tool, so tasks are marked complete without objective criteria and the critical path no longer reflects reality**

- C. The contractor is ahead

- D. EVM data is wrong

**WHY**

A schedule maintained for reporting drifts toward looking good. Objective completion criteria and a real critical path are what make it predictive.

A program's CPI has been 0.91, 0.89 and 0.87 over three periods. What does the trend indicate?

A. Performance is recovering

✓ **B. Cost efficiency is deteriorating steadily, and research on defense programs shows CPI rarely improves materially after the 20 percent completion point**

C. The data is noisy and should be ignored

D. The baseline is wrong

#### WHY

The direction matters more than the value. A declining CPI past early completion is one of the most reliable predictors of a final overrun.

Why is a KPP for which no test procedure can be written a serious problem rather than a documentation gap?

A. It delays the contract award

✓ **B. Because an untestable requirement cannot be verified, so neither side can prove the system met it and the dispute surfaces at the worst possible moment**

C. It increases the fee

D. It requires a waiver

#### WHY

Requirements are the contractual foundation. One that cannot be measured is a disagreement scheduled for delivery.

What distinguishes a significant Nunn-McCurdy breach from a critical one?

A. The number of programs affected

✓ **B. The magnitude of the unit cost growth against the baseline, with critical breaches triggering a certification requirement and potential program termination**

C. The service branch involved

D. Whether Congress is notified

#### WHY

The thresholds are defined percentages against current and original baselines, and the critical tier carries the certification and termination consequences.

**A PM builds a stakeholder communication plan after the first major cost overrun becomes public. What did they get wrong?**

A. Nothing; that is the natural trigger

**✓ B. Political capital has to be accumulated before it is needed, so relationships built during a crisis arrive too late to help with that crisis**

C. They should have used email

D. They should have delegated it

#### WHY

Stakeholders decide how to react to bad news based on what they already think of you. That judgment is formed in quiet months.

**An SPI of 1.0 with a CPI of 0.85 most likely indicates what?**

A. A healthy program

**✓ B. Schedule is being held by spending more than planned, which is common and unsustainable, and the schedule will eventually slip once the money runs out**

C. Schedule data is wrong

D. The program is ahead of plan

#### WHY

Reading the indices together is the whole skill. On-schedule and over-cost usually means schedule is being bought.

**Why does an SPI near 1.0 become unreliable late in a program?**

A. It is always unreliable

**✓ B. Because as work completes, earned value converges on the budget regardless of how late the remaining work is, so SPI drifts toward 1.0 even on a badly delayed program**

C. Because CPI replaces it

D. Because the baseline resets

#### WHY

This is why experienced PMs read the critical path in the IMS rather than trusting SPI in the back half of a program.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 6

# CMMI: Process Maturity

18 min

*Understand CMMI maturity levels, how DoD uses them in source selections and contract management, and how to verify contractor compliance. From both the government and contractor perspective.*

## What CMMI Actually Measures

CMMI rates how mature and disciplined a company's processes are. Does the organization have repeatable, predictable methods, or is every project starting from scratch? DoD cares because when spending hundreds of millions on a system, you need a contractor who can consistently deliver quality work. CMMI rates organizations on a 1–5 scale. Level 1 is chaotic and unpredictable. Level 5 is data-driven continuous improvement. ML3 is the common DoD threshold. Processes are defined, documented, and followed consistently across the organization.

### CMMI IN PLAIN ENGLISH

Think of a CMMI appraisal like a restaurant health inspection grade posted in the window. A grade tells you the kitchen follows the same clean process every single day, not just on the days the health inspector happens to show up. Two things trip people up, and they both matter for your program. First, the grade expires. A CMMI appraisal is only good for 3 years, same as that inspection sticker. An old grade tells you nothing about today. Second, the grade only covers the location it was issued for. A restaurant chain with an A grade downtown doesn't mean the location across town is clean too. That's exactly what a CMMI scope mismatch is: a contractor waving around a company-wide ML3 appraisal when the specific team on your contract was never actually inspected.

### REAL TALK

A five-level maturity scale for how a company runs its projects is about as dry as acquisition topics get, and we've covered some dry ones. It shows up on software-heavy or systems-engineering-heavy programs above a certain size, where the government genuinely needs proof a contractor won't collapse the moment things get hard. If nobody has ever asked you for a CMMI appraisal, that's not a hole in your knowledge, that's just the contract you happen to be on. Know what it is so you're not lost if it comes up, and don't lose a minute of sleep over the table below if it never does.

## CMMI Maturity Levels at a Glance

| LEVEL | NAME                   | WHAT IT MEANS                                                                              | DOD RELEVANCE                                                 |
|-------|------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| ML1   | Initial                | Chaotic and reactive: success depends on individual heroics, not process                   | High risk for DoD contracts. Avoid for complex programs.      |
| ML2   | Managed                | Projects are planned and tracked, but practices vary by project team                       | Acceptable for smaller, lower-risk efforts only               |
| ML3   | Defined                | Standard processes documented and followed organization-wide: not just on best teams       | Standard DoD threshold for major program support              |
| ML4   | Quantitatively Managed | Statistical process control applied: defect rates and productivity measured quantitatively | Required for some high-assurance and safety-critical programs |
| ML5   | Optimizing             | Continuous improvement institutionalized: organization systematically learns from data     | Highest rigor; rare in practice                               |

## Key Facts Every PM Must Know

- **CMMI Level 3 is the standard DoD threshold for major contractors** ML3 means the contractor has documented, standardized processes used consistently across all projects: not just on their best team. Below ML3 means performance is team-dependent and therefore unpredictable program-to-program.
- **An appraisal is NOT a certification: it is time-limited** Unlike ISO certifications, a CMMI appraisal is valid for only 3 years. After that, the organization must re-appraise. The correct term is "appraised at ML3," not "certified." Always verify the appraisal date on the PAL database.
- **CMMI-DEV vs CMMI-SVC: both are used in defense** CMMI-DEV applies to development work (hardware, systems, software). CMMI-SVC applies to service delivery (IT support, PM support, logistics). Know which model your contract requires.
- **Verify contractor CMMI claims on the PAL database** Every official SCAMPI A appraisal is published in the PAL at [cmmiinstitute.com/pars](https://cmmiinstitute.com/pars). Check three things: (1) Is the appraisal current: within 3 years? (2) Does the appraised organizational unit match the unit performing your contract? (3) Is the model type correct (DEV vs. SVC)?
- **Scope mismatch is the most common contractor compliance gap** A contractor may hold a company-wide ML3 appraisal but the specific division or team performing your contract was not part of the appraised organizational unit. The appraisal means nothing for your contract if the scope doesn't match.

## INTERMEDIATE

## CMMI in DoD Source Selections

CMMI appears in RFPs as either a pass/fail eligibility criterion ("Offerors must hold a current CMMI-DEV ML3 appraisal") or as a scored evaluation factor. As a USG PM, including a CMMI requirement protects against contractors who win on paper but lack the organizational discipline to execute consistently. As a contractor, ML3 is often the price of admission for major programs. And the PAL database means you cannot fake it. Understand how CMMI requirements flow from the acquisition strategy into the RFP and then into contractor monitoring.

## CMMI in Contract Administration

- **PMB instability can signal CMMI process breakdown: not just EVM issues** An ML3 organization is required to have functional Configuration Management (CM) and Project Planning (PP) process areas: both govern PMB integrity. PMB instability (budgets moving forward to avoid negative schedule variance) suggests these processes are not being followed post-appraisal. This is an institutionalization failure, not just a performance metric problem.
- **DCMA can conduct targeted CMMI process compliance reviews** If you observe contractor performance patterns inconsistent with their stated CMMI level, request a DCMA process compliance review targeting specific process areas (e.g., CM, PP, RSKM). DCMA has the authority and technical expertise to evaluate whether the contractor is actually following their ML3 processes on your contract.
- **DFARS 252.234-7002 links EVM and CMMI for software-intensive programs** For software-intensive programs above certain cost thresholds, this clause requires contractors to hold a current CMMI-DEV ML3+ appraisal or have an approved plan to achieve it within 24 months. EVM reliability and process maturity are directly correlated.
- **A SCAMPI A appraisal vs. SCAMPI B: only A produces an official rating** SCAMPI Class A produces an official ML rating publishable in the PAL. Classes B and C are internal readiness assessments: lighter, faster, and not publicly verifiable. A contractor citing a SCAMPI B result as their CMMI level is misrepresenting their status.

## What a Maturity Level Actually Buys

A maturity rating is evidence that an organization does the same thing the same way whether or not the person who invented it is still there. At level two, projects are managed: requirements are tracked, commitments are visible, and the project does not depend on one person's memory. At level three, the organization has defined processes that projects tailor rather than reinvent, so a new program starts from something rather than from nothing. Levels four and five add quantitative management and continuous improvement, which matter mostly to organizations running many similar projects. For a customer, the practical value of a level three rating is predictability: a proposal that describes a process the organization actually uses, and a program whose performance does not collapse when a key person leaves.

## Where Maturity Becomes Theater

The failure mode is real and worth naming. An organization pursues a rating for the proposal checkbox, builds a process asset library nobody uses, and trains everyone to say the right words during the appraisal window. The tell is a gap between the documented process and how work is actually done, which shows up as templates filled in retroactively, review meetings held without the artifacts they are supposed to review, and process metrics collected but never used in a decision. This is worse than no rating, because it adds cost without adding capability and it teaches the staff that compliance theater is what the organization rewards. When a customer's program is supported by a highly rated contractor whose program performance is nonetheless erratic, this is usually what is happening.

### ADVANCED

## CMMI Process Area Requirements at ML3

ML3 requires 17+ process areas to be institutionalized with defined, standardized processes. The most relevant to defense program management are: Requirements Management (REQM), Requirements Development (RD), Technical Solution (TS), Configuration Management (CM), Risk Management (RSKM), Project Planning (PP), Project Monitoring and Control (PMC), Supplier Agreement Management (SAM), and Integrated Project Management (IPM). When a program is struggling, correlate the symptoms to the relevant process areas. Then request DCMA review those specific PAs rather than the entire CMMI scope.

## Reading a Contractor's Maturity Claim

A maturity rating is granted to an organizational unit at a point in time, not to a company forever, and the scope of that unit is the first question. A level three rating held by a division in another state says little about the team that will run your program. Ask which organizational unit was appraised, when, by whom, and whether the projects sampled resemble yours in size and domain. Then ask the question that actually matters: show me the tailoring record for a project like mine. An organization with genuine process maturity can produce it immediately, because tailoring is a defined activity with a record. An organization with a certificate and little else will offer the process asset library instead, which is the difference between having a process and having a document about one.

## Process Maturity Against Speed

The standard objection is that process maturity slows delivery, and applied without judgment it does. The resolution is tailoring, which is a defined part of the model rather than a workaround: a small, low-risk effort is supposed to use a lighter version of the process, and the decision to tailor is itself documented. Organizations that do this well can show you two projects of different size running recognizably the same process at different weights. Organizations that do it badly apply the heavyweight version everywhere and

then quietly bypass it under schedule pressure, which produces the worst outcome, cost without discipline. For a government PM evaluating an approach, the useful question is not how mature the contractor is but whether they can describe the tailoring they intend for your program and why it fits your risk.

#### WHAT SENIOR PMS DO DIFFERENTLY

They ask which organizational unit was appraised, when, and whether the sampled projects resemble theirs. They ask to see a tailoring record rather than a process library, because one is evidence of practice and the other is evidence of documentation. And they judge process by whether it changes decisions, not by whether the artifacts exist.

One sentence to teach your team: **a maturity rating is evidence that an organization works the same way whether or not one person is there, so the question worth asking is not the level but whether they can show you how they tailored the process for a program like yours.**

#### BUILD ON THIS

- **Subcontractor Management** Judging a partner's actual practice
- **Contract Administration & COR** Surveillance that produces evidence
- **Test and Evaluation** Where process discipline shows up or does not

## Key Terms

### **CMMI**

Capability Maturity Model Integration. A framework for assessing and improving organizational process maturity. Developed by Carnegie Mellon's Software Engineering Institute (SEI), now maintained by the CMMI Institute (ISACA).

### **Maturity Level (ML)**

A 1–5 rating indicating how well-defined and disciplined an organization's processes are. ML3 is the standard DoD expectation for major contractors.

### **Appraisal**

A formal assessment of an organization's processes by a certified CMMI Lead Appraiser resulting in an official Maturity Level rating. Valid for 3 years.

### **PAL**

Published Appraisal Results. The CMMI Institute's public database of all current official CMMI appraisals. Always verify contractor claims [here](#).

### **SCAMPI**

Standard CMMI Appraisal Method for Process Improvement. The formal appraisal method. Only SCAMPI Class A produces an official ML rating.

### **CMMI-DEV**

CMMI for Development. The model variant applicable to development work: hardware, systems engineering, and software.

### **CMMI-SVC**

CMMI for Services. The model variant applicable to service delivery: IT support, program management support, logistics.

### **Process Area (PA)**

A specific capability domain within CMMI. E.g., Requirements Management (REQM), Risk Management (RSKM), Configuration Management (CM). ML3 requires 17+ process areas satisfied with defined, institutionalized processes.

### **Scope Mismatch**

The most common CMMI compliance gap: a contractor holds an appraisal for one organizational unit but proposes a different unit that has no appraisal.

### **DFARS 252.234-7002**

The DFARS EVM clause that for software-intensive programs above certain thresholds also requires contractors to maintain a current CMMI-DEV ML3+ appraisal or have an approved plan to achieve it within 24 months.

## Knowledge Check

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**A DoD RFP states: "Offerors must demonstrate a current CMMI Maturity Level 3 appraisal." A contractor submits proof of a SCAMPI B assessment at ML3. Is this acceptable?**

A. Yes: SCAMPI B and SCAMPI A both produce official ML ratings

Incorrect. Only SCAMPI Class A produces an official Maturity Level rating publishable in the PAL. SCAMPI B is a lighter gap-analysis: it does not produce a publicly verifiable ML rating.

**✓ B. No: only a SCAMPI Class A appraisal produces an official ML rating publishable in the PAL**

Correct. The RFP requirement can only be satisfied by a current SCAMPI A appraisal. A SCAMPI B is an internal readiness assessment. The contractor is misrepresenting compliance.

C. Yes: SCAMPI B is acceptable for contracts below \$100M

Incorrect. There is no contract dollar threshold that makes SCAMPI B equivalent to SCAMPI A. The appraisal class requirement is the same regardless of contract value.

D. Only if the SCAMPI B was conducted within the last 12 months

Incorrect. No time limit makes SCAMPI B equivalent to a SCAMPI A. The class type is the determinative factor, not recency.

### WHY

Only SCAMPI Class A appraisals produce official ML ratings. A contractor presenting a SCAMPI B result as evidence of ML3 compliance is misrepresenting their CMMI status. Verify all appraisal claims in the PAL database at [cmmiinstitute.com/pars](https://cmmiinstitute.com/pars).

### What is the most common CMMI compliance gap that government PMs discover after contract award?

- A. The contractor's appraisal is older than 5 years

Incorrect: the appraisal validity period is 3 years, and an expired appraisal would typically be caught during proposal evaluation. The more insidious issue is scope.

- B. The contractor misidentified which CMMI model version they hold (v1.3 vs v2.0)

Incorrect. While version differences exist, misidentifying the model version is less common than the scope mismatch problem.

- ✓ C. The appraised organizational unit doesn't include the team actually performing the contract work

Correct. Scope mismatch is the leading CMMI compliance problem. A prime contractor may hold an enterprise ML3 appraisal while the specific division or team on your contract was not part of the appraised scope.

- D. The contractor doesn't have CMMI-SVC when CMMI-DEV is required

Incorrect. While model type mismatches occur, they are typically identified during proposal evaluation. Scope mismatch is discovered post-award when reviewing the actual appraisal certificate details.

#### WHY

Scope mismatch. Where the appraised organizational unit does not include the team performing your contract. Is the most common post-award CMMI compliance issue. Always review the appraisal certificate scope definition in the PAL, not just the ML rating.

### What is the key difference between a SCAMPI A and a SCAMPI B appraisal?

- A. SCAMPI A covers hardware; SCAMPI B covers software development

Incorrect. The distinction is not by technology domain: both are general process assessments applicable to any type of work.

- ✓ B. Only SCAMPI A produces an official Maturity Level rating publishable in the PAL; SCAMPI B is a lighter gap-analysis assessment that does not produce an official rating

Correct. SCAMPI has three classes: A, B, and C. Only Class A produces an official ML rating. Classes B and C are internal readiness assessments: faster, lighter, and not publicly verifiable.

- C. SCAMPI A requires government oversight; SCAMPI B is conducted independently

Incorrect. Neither class inherently requires government oversight: the distinction is in rigor and the ability to produce an official ML rating.

- D. SCAMPI B replaced SCAMPI A in the CMMI v2.0 model update

Incorrect. Both classes remain valid in CMMI v2.0. SCAMPI B did not replace SCAMPI A in any model update.

#### WHY

Only SCAMPI Class A produces an official Maturity Level rating citable in proposals and publishable in the PAL. A contractor citing a SCAMPI B result as their CMMI level is misrepresenting their compliance status.

**Your ML3-appraised contractor is showing PMB instability. Budgets keep moving forward in the schedule to avoid recording negative schedule variance. What is the most appropriate CMMI-informed response?**

A. Immediately report the contractor to DCMA for EVM non-compliance

Incorrect as the first response. While DCMA has oversight authority, a more targeted approach: requesting a review of the specific CMMI process areas governing PMB integrity: is more effective than a broad EVM non-compliance escalation.

**✓ B. Request that DCMA conduct a CMMI process compliance review focusing on Configuration Management and Project Planning: the ML3 process areas that directly govern PMB integrity**

Correct. PMB instability signals that the ML3 Configuration Management (CM) and Project Planning (PP) process areas are not being followed. A targeted DCMA process compliance review is the right instrument: more precise than a general EVM audit.

C. Require the contractor to upgrade to CMMI ML4 as a corrective action

Incorrect. Requiring an ML4 upgrade is disproportionate and contractually unfounded. The issue is the contractor not following their existing ML3 processes, not a need for a higher maturity rating.

D. Accept the changes since the contractor holds a current ML3 appraisal

Incorrect. Holding an appraisal does not guarantee day-to-day compliance. An appraisal reflects a point-in-time assessment: the organization must continuously follow the defined processes for the rating to be meaningful.

#### WHY

An ML3 organization must have functional Configuration Management and Project Planning process areas governing PMB integrity. PMB instability suggests post-appraisal institutionalization failure. A targeted DCMA process compliance review, not a blanket escalation, is the correct response.

**Which DFARS clause links CMMI requirements to software-intensive DoD programs above certain cost thresholds?**

**A. DFARS 252.215-7000 (Subcontractor Cost or Pricing Data)**

Incorrect. This clause covers certified cost and pricing data requirements for subcontractors: it has no connection to CMMI process maturity requirements.

**B. DFARS 252.242-7006 (Accounting System Administration)**

Incorrect. This clause covers accounting system adequacy requirements: distinct from process maturity. Accounting systems and CMMI are related but governed by separate clauses.

**✓ C. DFARS 252.234-7002 (Earned Value Management System)**

Correct. DFARS 252.234-7002 (EVM System) includes provisions requiring contractors on software-intensive programs above specified thresholds to hold a current CMMI-DEV ML3+ appraisal or have an approved plan to achieve it within 24 months, recognizing the direct correlation between EVM reliability and process maturity.

**D. DFARS 252.204-7012 (Safeguarding Covered Defense Information)**

Incorrect. This clause covers cybersecurity requirements for covered defense information: it governs CMMC (Cybersecurity Maturity Model Certification), not CMMI process maturity.

**WHY**

DFARS 252.234-7002 links EVM and CMMI for software-intensive programs, requiring ML3+ or an approved plan to achieve it. This reflects DoD's recognition that EVM reliability depends on underlying process maturity.

**What does a level three maturity rating tell a customer, in practical terms?**

**A. The contractor will finish faster**

**✓ B. The organization has defined processes projects tailor rather than reinvent, so performance does not depend on one person**

**C. Costs will be lower**

**D. Quality is guaranteed**

**WHY**

The practical value is predictability and resilience to turnover, not speed or price.

**What is the clearest sign that a maturity rating is theater?**

A. The rating is recent

✓ **B. A gap between the documented process and how work is done: retroactive templates, reviews without artifacts, metrics nobody uses**

C. The organization is large

D. The appraiser was external

**WHY**

This adds cost without capability and teaches staff that compliance theater is what gets rewarded.

**A contractor claims a level three rating. What is the first question?**

A. What was the score

✓ **B. Which organizational unit was appraised, when, and were the sampled projects like mine**

C. How much did it cost

D. Who was the appraiser's employer

**WHY**

Ratings belong to an organizational unit at a point in time. A rating held elsewhere says little about the team running your program.

**What resolves the tension between process maturity and speed?**

A. Skipping the process under schedule pressure

✓ **B. Tailoring: a defined, documented decision to run a lighter process for smaller or lower-risk work**

C. Raising the maturity level

D. Adding more reviews

**WHY**

Tailoring is part of the model. Bypassing the process quietly produces cost without discipline, which is the worst of both.

**Match each maturity level to what it means in practice:****CORRECT MATCHES**

|         |                                                                |
|---------|----------------------------------------------------------------|
| Level 2 | Projects are managed; commitments and requirements are tracked |
| Level 3 | Organization-wide defined processes that projects tailor       |
| Level 4 | Quantitative management using process data                     |
| Level 5 | Continuous improvement driven by that data                     |

**WHY**

Levels four and five matter most to organizations running many similar projects.

**Order how to evaluate a contractor's process claim:****CORRECT ORDER**

1. Ask which organizational unit was appraised and when
2. Ask whether the sampled projects resemble yours in size and domain
3. Ask for the tailoring record from a comparable project
4. Ask what process data has changed a decision in the last year
5. Judge the claim on practice, not on the certificate

**WHY**

Evidence of practice beats evidence of documentation every time.

**Your contractor holds a level three rating but program performance is erratic. What is the most likely explanation?**

A. The rating is fake

✓ **B. The appraised unit is not the team running your program, or the process is documented rather than practiced**

C. Level three is meaningless

D. The program is too small

**WHY**

Ratings attach to an organizational unit at a point in time, and a gap between documented and actual practice is the common failure.

## PROGRAM OPERATIONS &amp; LEADERSHIP · LESSON 7

# What Program Managers Actually Do

20 min

*You were told you're ready to be a Program Manager. Maybe you're the best engineer on the team. Maybe you've run circles around everyone else as a contract specialist or analyst. That's exactly why someone tapped you. And exactly why this lesson matters. Being a PM is not a step up from what you were doing. It's a step sideways into a completely different job. This lesson is the honest conversation nobody has with you before you start.*

## THE PROMOTION THAT ISN'T

Imagine you're the best striker on a soccer team. Thirty goals this season. Undeniable. The coach pulls you aside: "You're so good at this, we're making you the manager." Congratulations. You just stopped being a striker. Your job now is not to score goals. Your job is to build a team that scores goals. You don't get on the field. You set the strategy, manage the relationships, handle the budget, make sure the training schedule doesn't conflict with match days, and answer to the club owners when results don't come. The technical skills that made you a great striker are useful background. But they will get you fired as a manager if you keep using them instead of doing the actual management job. Defense acquisition program management is identical. The best engineers, analysts, and contract specialists who become PMs and struggle usually have one thing in common: they keep doing the old job. They dive into the technical details. They solve the problems themselves. They attend meetings to show off how smart they are instead of to help the room make a decision. They are, in the language of the field, "in the weeds". And while they're down there, nobody is flying the plane. This lesson is about flying the plane.

Everything you do as a PM serves **three things**: Cost. Schedule. Performance.

## The Four Things a PM Is Always Managing



### Cost

Spending at the right rate to finish?



### Schedule

On track for the next milestone?



### Performance

Delivering what was actually asked for?



### Risk

Seeing problems before they become crises?

## What Each One Actually Means Day-to-Day

### Cost

EVM

Not just "is the contract funded?" It means: are we burning at the right rate, do we have enough to finish, and will leadership be shocked at the next review? EVM (Earned Value Management) is the tool: it compares how much work you've gotten done against how much you planned to spend. It's the difference between knowing you're on track and hoping you are.

### Schedule

IMS

Not a Gantt chart you file and forget. The IMS (Integrated Master Schedule) is a living document that should tell you whether the next milestone is at risk before it slips, not after. If your IMS is ever surprising you: it's not doing its job.

### Performance

CPARS

The simplest to describe, the hardest to stay honest about. Are you delivering what the customer asked for? This is where your technical background actually helps: not to do the work, but to know whether the work being done meets the requirement. Busy ≠ delivering.

### Risk

Risk Register

What could go wrong, how likely is it, and what's the plan when it does? The PM who is surprised by problems isn't managing risk. Risk management isn't a quarterly briefing slide: it's a weekly conversation. If it's not on your risk register, it doesn't officially exist.

Somebody once described this job to me as 'being professionally responsible for things you don't personally do.' That stuck with me, because it's exactly right, and it's exactly why the jump into PM work catches so many good engineers and analysts off guard. You stop being measured on how well you understand the technical problem. You start being measured on whether the right people are working it, whether leadership knows where things stand, and whether the money and the schedule hold up while that happens. It's a completely different skill set, and nobody really teaches it to you directly. Most PMs learn it the same way: they get blindsided in a program review once, and decide never to let that happen again.

## What Your Day Actually Looks Like

- **Weekly finance review with your cost analyst: not to approve it, but to understand it** "What's our burn rate? Are we trending toward overrun? What's the estimate to complete?" If you can't answer those three questions off the top of your head on any given week, you don't have command of your program's finances. This meeting is how you stay current.
- **Contractor performance review: not to micromanage, but to stay informed** "What did you deliver this month? What are your risks? What do you need from me?" The PM who surprises contractors with demands gets bad information. The PM who asks the same questions consistently, week after week, gets the real picture.
- **Monthly program review preparation** This is a PM skill unto itself. Assembling data from six different sources, identifying the story that data tells, and deciding what leadership needs to know: and how to frame it: takes practice. "The data looks fine" is not a program review. A clear narrative about where you are, what's at risk, and what you need is.

- **Risk register update** Every week, someone should be asking: did anything new go wrong? Did any risks get worse? Do we have the right mitigations in place? This is not administrative overhead. This is how you see problems coming. The PM who maintains a current risk register is rarely surprised. The PM who doesn't is routinely ambushed.
- **Stakeholder communication: proactive, not reactive** The PM who only talks to their government customer when something goes wrong is already in trouble. The PM who maintains a relationship during the quiet periods has political capital when things get hard. Call before there's a problem. Update them even when there's nothing dramatic to report. That's how trust is built.
- **Schedule maintenance** The IMS doesn't update itself. Someone needs to collect actuals from the team, update the baseline, and look at the critical path: the one task sequence where a slip delays everything. If you don't know what your critical path is right now, that's the first thing to find out.
- **Decision log** Document every significant decision: why you made it, who approved it, what the alternatives were. When auditors show up (and they will), the paper trail is your protection. When leadership asks why something was done a certain way six months ago, the log is your answer. When you're off the program and your replacement needs to understand context, the log is how institutional knowledge survives.

## The Things That Will Trip You Up

- **Doing the technical work yourself** Your engineer misses a test milestone. You know exactly what the problem is: you've seen this before, you could fix it in your sleep. You sit down and start solving it. Three weeks later, you've fixed the technical problem. The schedule has slipped two months because nobody was managing the recovery plan. The PM's job was to ask: "What do you need to fix this, and what's our path back to the IMS baseline?" Not to be the one who fixes it.
- **Being the last to know** New PMs often think surfacing problems early will make them look bad. The opposite is true. A cost overrun that leadership hears about in a program review: three months after you knew: is a trust-destroying event. The same overrun surfaced proactively, with a recovery plan, is evidence that a PM has command of their program. Leaders are not surprised by problems. They're surprised by PMs who hid them.
- **Confusing activity with progress** "The team is working really hard" is not a status update. "We are 40% through the development phase, currently 12 days behind the IMS baseline, with a recovery plan that gets us back on track by March" is a status update. PMs who confuse busyness with progress give leadership the feeling that nobody is actually driving. That feeling tends to result in closer scrutiny: which nobody wants.
- **Not understanding the money** Even if you have a dedicated cost analyst, you must understand your budget, your burn rate, and your estimate to complete. Finance is not someone else's job with a summary you glance at. If you cannot answer "how much have we spent and how much do we have left?" without looking it up, you are not doing the PM job. Start there.
- **Skipping the relationship with your COR** On the government side, the Contracting Officer's Representative (COR): the government employee who monitors contractor performance day to day: is one of the most important relationships a contractor PM has. The COR writes the CPARS ratings: the past

performance assessments that follow your company to every future contract evaluation. Ignoring them, or only calling when there's a problem, is a mistake that shows up on the next re-compete. Treat the COR relationship as a standing priority, not an afterthought.

## What Good Actually Looks Like

She walks into the monthly program review knowing every number before the first slide goes up. Not because she memorized the deck. Because she's been tracking the data all month. The review is not where she learns what's happening. It's where she tells leadership what she already knows. When a general officer asks a question that isn't on the slides, she answers it without hesitation. When a risk materializes that has everyone in the room on edge, she says: "We saw this coming six weeks ago. Here are the three options. Here's our recommendation." The room relaxes. The meeting ends with decisions made instead of questions multiplied. That's what command of a program looks like. It has nothing to do with technical expertise. It's about knowing your program. Its cost, its schedule, its risks, and its stakeholders. Cold. The technical team knows the solution. The PM knows the program.

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### INTERMEDIATE

## Making the Transition: Your First 90 Days

- **Get a mentor who's done it** Not a peer who's also new to PM: someone who has managed a program through a rough patch. Ask them what surprised them. Ask them what they wish they'd known in month one. The lessons that come from actual experience are different from any training course, and most veterans in this field are genuinely willing to share them.
- **Learn the money first** Before you try to understand the technical approach in depth, understand the budget structure. How is the contract funded? What type of contract is it: cost-plus, fixed-price? What's the award fee period, and when is the next evaluation? The financial structure defines the incentives for everyone on the program, including your company.
- **Map your stakeholders** Write a list of every person who has an opinion about this program: the government COR, the customer program office, your company's leadership, the business development team. Understand who wants what and how their interests align or conflict. You cannot manage stakeholders you haven't identified.
- **Read the contract: the whole thing** Most new PMs never read the contract. The Statement of Work tells you what you're contractually obligated to deliver. The CDRLs (Contract Data Requirements Lists: the official deliverables list) tell you what you'll be evaluated on. The evaluation criteria tell you what "good" means in the government's eyes. These documents define your job. You should know them cold.
- **Find the critical path on the IMS** One task sequence, if it slips, delays everything else. That's the critical path. Find it in the first week. Protect it. Make sure everyone on the program knows what it is. The critical path is where schedule risk lives, and it's the first thing experienced reviewers will ask about.

## ADVANCED

## The Longer Game

The PM who masters the transition typically does one thing differently from the ones who plateau: they stop thinking exclusively about their program and start thinking about their portfolio of relationships. Every program review is a chance to build trust with leadership. Every problem surfaced early, with a recovery plan already in hand, is a deposit in that trust account. Every crisis managed with composure, clarity, and honest information is a career-defining moment, in the right direction. The PMs who advance are not the ones with the cleanest programs. Defense programs are messy by nature. The requirements are hard, the timelines are compressed, the budgets are constrained, and the stakes are real. Clean programs are the exception. The PMs who advance are the ones whose leadership always felt informed. Always felt that problems were under control. Always felt that someone was driving. That feeling, that the PM has command of the situation, is what you're building. It doesn't come from expertise. It comes from consistency: consistent reporting, consistent communication, consistent honesty about where the program stands. Over time, it becomes a reputation. And in this field, reputation is the whole game.

### WHAT SENIOR PMS DO DIFFERENTLY

They stop thinking exclusively about their own program and start thinking about the portfolio it sits in, because the decisions that determine a program's future are made at a level where somebody is comparing it to three others.

### BUILD ON THIS

- **Career Roadmap** Deciding whether this is the job you want
- **Risk Management** One of the four things you are always managing
- **Stakeholder Management & Communication** The part of the job nobody warns you about

## Key Terms

### Program Manager (PM)

The person accountable for a program's cost, schedule, and performance. Not the technical expert in the room. The integrator. The PM's job is to make sure the right people are solving the right problems, leadership always knows where things stand, and decisions get made before they become crises.

### Triple Constraint

The three things a PM is always balancing: cost, schedule, and performance. They're linked. Change one and the others move. Cut the budget and either the schedule slips or you deliver less. Add time and cost goes up. The PM's job is to manage that triangle deliberately, not accidentally.

### Stakeholder

Anyone who has a stake in the program's outcome, and that list is longer than most new PMs expect. The government customer, the contracting officer, your company's leadership, Congress (on large programs), and even the end users of whatever you're delivering. Knowing what each stakeholder wants, and how those interests align or conflict, is one of the PM's most important jobs.

### Earned Value Management (EVM)

A reporting system that compares how much work you've completed against how much work you planned to complete and how much you planned to spend. All at the same time. It's how you know whether a program is actually on track, versus just looking busy.

### Program Baseline

The agreed-upon plan: what you'll deliver, when you'll deliver it, and for how much. Every cost and schedule report measures actual performance against the baseline. If the baseline changes, everything gets re-zeroed. Which is why protecting it matters.

### Risk Register

The living list of things that could go wrong on a program. How likely each one is, how bad it would be if it happened, and what you'll do about it. A well-maintained risk register is how a PM sees problems coming. An ignored one is how a PM gets surprised.

### Program Review

A formal briefing where you tell leadership, whether that is your company's, the government's, or both, exactly where the program stands: cost, schedule, risks, and what you need from them. This is not a status update. It's an accountability moment, and how you run it tells leadership everything about whether you have command of your program.

### Integrated Master Schedule (IMS)

The master timeline for the program, showing every task, who owns it, when it's due, and how tasks depend on each other. The IMS should be updated weekly and should never surprise you. The critical path is the one sequence of tasks that, if delayed, delays everything. You need to know before it slips, not after.

### Award Fee

On cost-plus contracts, the performance bonus the government can pay the contractor on top of base costs. It is earned, not guaranteed, based on government ratings across technical performance, cost control, schedule, and management. The PM's decisions directly affect how much award fee the company earns.

**Command of Your Program**

Knowing your cost, schedule, risk and performance numbers and what is driving them before anyone asks. It comes from continuous engagement, not from preparing for the review.

## Knowledge Check

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**A senior engineer is told she's being promoted to PM on a large defense program. What is the most important mindset shift she needs to make?**

A. Continue focusing on technical excellence: that's what got her here

Technical excellence is valuable background, but it's not the PM job. PMs who default to solving technical problems themselves often neglect the management work that nobody else will do.

**✓ B. Shift from being the expert who solves problems to being the integrator who makes sure problems get solved**

Correct. The PM is not the person with all the answers: she's the person accountable for making sure the right people find the answers, on time, within budget. That requires a fundamentally different way of working.

C. Manage the team by personally tackling the hardest technical challenges

This is the most common mistake new PMs from technical backgrounds make. Diving into technical problems feels productive but leaves the management work unattended.

D. Focus primarily on the program schedule and let the technical team manage everything else

Schedule is important, but it's one side of the triple constraint. A PM who focuses only on schedule while ignoring cost and performance is managing a third of the job.

### WHY

The transition from technical expert to PM is a shift in identity, not just responsibilities. The expert is measured by the quality of their individual work. The PM is measured by the outcomes of everyone else's work. That shift, from doing to enabling, is the hardest part of the transition, and the most important.

**A PM on a cost-plus contract notices the team's burn rate is higher than planned. What should they do first?**

A. Wait a few weeks to see if the rate corrects itself

Waiting is how a manageable variance becomes a funding crisis. By the time a burn rate problem is obvious, you've already burned time you needed to build a recovery.

B. Immediately notify the government customer

Customer communication matters, but the PM should understand the root cause before that conversation. Calling the customer to report a problem you don't yet understand doesn't inspire confidence.

**✓ C. Ask the cost analyst for the current Estimate at Completion (EAC) and understand the root cause before taking action**

Correct. Before escalating, the PM needs to understand what's driving the higher burn rate, how significant the variance is, and what the projected impact is at completion. The EAC tells you where you're headed, not just where you are today.

D. Contact the contracting officer to request additional funding

Requesting more money is a last resort, not a first response. Most burn rate issues have a root cause that needs to be understood and addressed first.

#### WHY

The right first step is diagnosis. Get the current Estimate at Completion from your cost analyst, understand whether this is a timing variance or a trend, and identify what's driving it. Then you can have a productive conversation with leadership and, if necessary, the customer. With a recovery plan, not just a problem.

## The triple constraint in program management refers to:

### A. Scope, communication, and risk

These are important program management concepts, but they're not the triple constraint. Scope is sometimes substituted for performance in civilian PM frameworks, but the defense acquisition version is cost, schedule, and performance.

### ✓ B. Cost, schedule, and performance

Correct. These are the three dimensions a PM is accountable for, and they're interdependent: change one and the others are affected. Managing that triangle deliberately is the core of the PM job.

### C. Quality, safety, and regulatory compliance

These are important considerations but not the defining framework for program accountability in defense acquisition.

### D. Budget, personnel, and technology

These are inputs to a program, not the outcome dimensions the PM is accountable for. The PM is accountable for what gets delivered (performance), when (schedule), and for how much (cost).

#### WHY

Cost, schedule, and performance. Sometimes called the "iron triangle". Are the three things a PM is always balancing. They're linked: change one and the others move. Add time and costs go up. Cut the budget and something has to give. Either schedule or delivered capability. Managing those tradeoffs deliberately, with clear documentation and stakeholder agreement, is what PMs do.

## What does Earned Value Management (EVM) tell you that a simple budget report doesn't?

### A. Nothing different: it's just another way to report spending

EVM is fundamentally different from a budget report. A budget report tells you how much you've spent. EVM tells you how much work you've gotten for that spending.

### B. Whether you have enough people on the team

Staffing levels are an input, not what EVM measures. EVM measures outputs: work accomplished: against both the planned work and the planned cost.

### ✓ C. Whether you're getting the planned amount of work done for the money spent, at any point in time

Correct. EVM compares three things simultaneously: planned work, actual work completed, and actual spend. A budget report can show you're on plan financially while you're significantly behind on work: or vice versa. EVM catches both.

### D. The contractor's profit margin on the contract

EVM measures program performance against the baseline plan. It doesn't reveal the contractor's internal cost structure or profit margin.

#### WHY

A budget report tells you how much money has been spent. EVM tells you whether you're getting the work you expected for that spend. A program can look fine on a simple budget report. Spending at exactly the planned rate. While actually being significantly behind schedule, because the team is spending more per task than planned. EVM catches that disconnect early.

**A new PM discovers a technical problem she knows exactly how to solve from her engineering background. What is the right PM response?**

**A. Solve it herself: she's the most qualified person to fix it quickly**

This is the most tempting wrong answer in program management. Solving it yourself feels productive, but the schedule impact, stakeholder communication, and recovery plan will go unmanaged while you're in the weeds.

**✓ B. Ask the team to solve it, then manage the recovery plan and schedule impact**

Correct. The PM's job is to ask: "What do you need to fix this, and what's our path back to the baseline?" The team owns the solution. The PM owns the program-level consequences: the schedule recovery, the customer communication, the risk register update.

**C. Ignore it and let the engineer figure it out on their own timeline**

Ignoring a known problem is not delegation: it's abdication. The PM should be engaged, asking the right questions and managing the impact, without taking over the technical work.

**D. Escalate immediately to leadership without first understanding the scope**

Escalating before you understand the problem isn't leadership: it's panic. Understand the scope, assess the schedule impact, and come to leadership with options, not just a problem.

**WHY**

The PM's job is to manage the impact of the problem. The schedule recovery, the customer communication, the risk register update. Not to solve the problem itself. Stepping in to do the technical work feels helpful but leaves the management work unattended. Three weeks later, you've fixed the technical problem and the schedule has slipped two months because nobody was managing it.

## What is a CPARS rating and why does it matter to a contractor PM?

### A. A financial audit result that has no bearing on future contract work

CPARS has significant bearing on future work; it's one of the primary factors source selection boards use when evaluating past performance on re-compete awards.

### ✓ B. A past performance rating written by the government COR that follows the contractor to future contract evaluations

Correct. The Contractor Performance Assessment Reporting System (CPARS) rating is the government's official assessment of how well the contractor performed. It is used in source selection for future contracts and can affect whether the company wins re-competes; making it a direct business development concern for the PM.

### C. A project management certification the contractor PM should earn

CPARS is not a certification. It is an assessment written by the government about contractor performance.

### D. An internal company performance review for contractor employees

CPARS is written by the government customer: specifically, typically initiated by the COR; not by the contractor. It is an external evaluation of the contractor's performance.

#### WHY

CPARS ratings are the government's official record of contractor past performance, and they follow the contractor to every future source selection. The COR. The government employee you work with daily. Plays a central role in how those ratings are written. A contractor PM who maintains a strong relationship with the COR and performs consistently is building a track record that directly affects future contract wins.

**On a cost-plus contract, what does the award fee represent?**

- A. The government's base payment covering all contract work and standard profit

The base payment covers costs and a small fixed base fee. The award fee is a separate, variable layer on top; and it is not guaranteed.

✓ **B. A variable bonus the contractor earns based on performance ratings: the PM's decisions directly affect how much is earned**

Correct. On cost-plus award fee contracts, the government reimburses allowable costs and pays a fixed base fee regardless of performance. The award fee is earned based on government ratings across technical performance, cost control, schedule, and management. Every call the PM makes affects those ratings.

- C. A financial penalty the government applies when the contractor has cost overruns

Award fee works in reverse: it's withheld (not earned) when performance is poor, not assessed as a penalty. The contractor earns less; the government doesn't collect more.

- D. The contractor's fixed profit margin established at contract award

Nothing about the award fee is fixed: that's the point. The amount earned varies based on performance. A fixed profit margin is more characteristic of fixed-price contract structures.

**WHY**

On a cost-plus award fee (CPAF) contract, the government reimburses allowable costs and pays a small guaranteed base fee. The award fee, which can represent real money, is earned based on performance ratings in areas like technical quality, cost control, schedule adherence, and management. A PM who understands this structure manages differently: the choices made every week directly affect how much fee the company collects at the end of the evaluation period.

**Which of the following best describes what "command of your program" looks like in practice?****A. Knowing the technical solution in depth and being able to explain it to leadership**

Technical depth is useful context, but leadership doesn't need you to explain the engineering. They need to know the cost, schedule, and risk picture: and what you're doing about it.

**✓ B. Being able to answer any question about cost, schedule, risk, and stakeholder status without looking it up**

Correct. Command of a program means you know your numbers cold: not because you memorized a briefing, but because you've been tracking the data all month. When a question comes from the room that isn't on the slides, you can answer it. When a risk materializes, you have options ready.

**C. Having more experience than anyone else on the program team**

Experience is valuable, but command of a program is demonstrated through current, accurate knowledge: not tenure. New PMs can demonstrate command. Experienced PMs can lose it.

**D. Ensuring no problems ever arise on the program**

Problems arise on every defense program. Command of a program doesn't mean having no problems: it means knowing about them before leadership does and having a plan when they surface.

**WHY**

Command of a program is not about expertise. It's about currency and clarity. The PM who walks into a program review knowing every number, who can answer questions that aren't on the slides, and who can say "we saw this coming and here are our options" is demonstrating command. That comes from consistent weekly engagement with cost, schedule, risk, and stakeholder data. Not from deep technical knowledge.

**A new PM sees a technical problem she knows exactly how to solve from her engineering career. What should she do?****A. Solve it herself; it is the fastest path****✓ B. Make sure the right person owns it with the resources and the decision authority to solve it, because a PM who does the technical work stops doing the PM work****C. Escalate it to the PEO****D. Direct the contractor's engineer personally****WHY**

The pull back toward the work you were good at is the most common failure mode in the first year, and it leaves the actual PM job undone.

**What does earned value tell a PM that a budget report cannot?**

A. How much money is left

**✓ B. How much of what was planned has actually been accomplished for the money spent, which is the only way to separate underspending from being behind**

C. When invoices are due

D. The contractor's profit

**WHY**

Spend alone is ambiguous. Under budget can mean efficient or can mean nothing happened, and only earned value distinguishes them.

**Why does a CPARS rating matter to a contractor PM in a way that internal performance reviews do not?**

A. It determines this year's bonus

**✓ B. Because it becomes the government-wide past performance record evaluated in future source selections, long after the program ends**

C. It is confidential to the program office

D. It sets the award fee

**WHY**

CPARS outlives the contract and follows the company into competitions the PM will never see.

**A PM on a cost-plus contract notices burn rate is running ahead of plan. What is the right first move?**

A. Wait for the next monthly report to confirm

**✓ B. Find out whether the extra spend bought extra progress, because burn ahead of plan with earned value ahead of plan is a different problem from burn ahead with no progress**

C. Direct the contractor to slow spending

D. Request additional funding

**WHY**

Burn without context is not a signal. Paired with earned value it becomes either a schedule acceleration or the beginning of an overrun.

**PROGRAM OPERATIONS & LEADERSHIP · MODULE ASSESSMENT**

# Module Assessment

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## Knowledge Check

**A Program Manager receives a contractor Requests for Equitable Adjustment (REA). What is the most accurate description of an REA?**

A. A unilateral government order to change contract scope

✓ **B. A contractor's request for a contract price or schedule adjustment based on a government-caused change or differing site condition**

C. An audit finding from DCAA requiring the contractor to refund overpayments

D. A subcontractor claim against the prime contractor

### WHY

An REA (Request for Equitable Adjustment) is a contractor's formal request to adjust the contract price, schedule, or other terms due to a government action. Such as a change order, differing site condition, or government-caused delay. REAs must be addressed promptly; unresolved REAs often escalate into formal claims under the Contract Disputes Act.

**Under DoD operations, "LRIP" refers to which phase of a program's lifecycle?**

✓ **A. Low Rate Initial Production: the initial production phase before Full Rate Production is approved at Milestone C**

B. Long Range Investment Planning: the POM submission process

C. Logistics Readiness Integration Plan: the sustainment planning document

D. Limited Risk Incentive Pricing: a contract pricing method

### WHY

LRIP (Low Rate Initial Production) is the production phase between Milestone B and the Full Rate Production (FRP) Decision Review (Milestone C). LRIP produces a limited number of units for operational testing and initial fielding. IOT&E (Initial Operational Test & Evaluation) is conducted during LRIP. LRIP quantities are capped by statute.

**A Cure Notice is issued by the Contracting Officer when:**

A. The contractor submits a late invoice

✓ **B. The contractor's performance is endangering completion of the contract and the government is considering termination for default**

C. DCAA identifies unallowable costs in the contractor's accounting system

D. The contractor requests a stop-work order

**WHY**

A Cure Notice (FAR 49.607) is issued when the contractor's performance is so deficient that it is in danger of default termination. The notice gives the contractor a specified time (usually 10 days) to cure the deficiency. If the contractor does not cure, the CO may issue a Show Cause Notice and ultimately terminate for default.

**The Acquisition Program Baseline (APB) is best described as:**

A. A contractor's internal project schedule

✓ **B. The formal agreement between the PM and MDA establishing approved thresholds for cost, schedule, and performance: deviations trigger a breach**

C. The government's independent cost estimate used at milestone reviews

D. A monthly status report submitted to OSD

**WHY**

The APB is a binding agreement establishing the program's cost (PAUC and APUC), schedule (IOC and FOC), and performance (KPPs) parameters with objective thresholds and goals. Breaching an APB threshold requires notifying the MDA and may trigger a program review, restructure, or termination.

**In a Termination for Convenience (T4C), the contractor is entitled to recover:**

A. Only profit on work already completed

**✓ B. Costs incurred, profit on work completed, and reasonable settlement costs: but NOT lost profits on unperformed work**

C. Nothing: the government has absolute discretion to terminate without compensation

D. The full contract value as if the contract had been completed

#### WHY

A T4C settlement compensates the contractor for: (1) costs incurred performing work, (2) profit on work performed, and (3) costs of settling the termination (e.g., subcontract termination costs). The contractor is NOT entitled to lost profits on unperformed work. This distinguishes T4C from termination for default (where the contractor may owe the government repurchase costs).

**What is the primary function of the Integrated Product Team (IPT) structure in DoD program management?**

A. To replace the Program Manager's authority on technical decisions

**✓ B. To bring together representatives from all functional areas (engineering, contracting, finance, logistics, test) to make integrated program decisions rather than sequential, stove-piped ones**

C. To provide external oversight of the PM similar to an Inspector General

D. To manage contractor performance reviews and past performance ratings

#### WHY

IPTs are cross-functional teams that integrate the technical, contractual, financial, and operational perspectives needed to solve complex acquisition problems. The Working IPT (WIPT) handles day-to-day issues; the Overarching IPT (OIPT) provides senior leadership oversight. IPTs replaced sequential (waterfall) review processes with concurrent, collaborative decision-making.

**Should-Cost analysis differs from Will-Cost analysis in that Should-Cost:**

A. Is performed by CAPE rather than the program office

✓ **B. Identifies what a program SHOULD cost after eliminating inefficiencies, rather than projecting what it WILL cost based on current trends**

C. Is only required for ACAT I programs

D. Focuses only on contractor labor rates, not overhead

**WHY**

Will-Cost estimates project program cost based on current performance trends (essentially EAC). Should-Cost analysis. Required by statute for major defense programs. Challenges the program to identify and eliminate inefficiencies. The difference between Should-Cost and Will-Cost is the PM's cost reduction target. Should-Cost is a management tool to drive better value from the industrial base.

**A program's Key Performance Parameters (KPPs) are established in which acquisition document?**

A. Acquisition Program Baseline (APB)

✓ **B. Capability Development Document (CDD)**

C. Test & Evaluation Master Plan (TEMP)

D. Life Cycle Sustainment Plan (LCSP)

**WHY**

KPPs are established in the Capability Development Document (CDD), validated through the JCIDS process. KPPs represent the minimum acceptable performance thresholds. Failing to meet a KPP at IOT&E can result in a program not achieving Initial Operational Capability (IOC). The APB captures KPPs as thresholds/objectives, but the CDD is the source document.